

HARMONY GOLD



Social and Labour Plan 2023 – 2027 (Submission 2)

Kusasaletu Operation

GP 30/5/1/2/07 MR



Table of Contents

ACRONYMS	5
BACKGROUND	8
HARMONY GOLD	8
OUR STRATEGY	8
SECTION 1: PREAMBLE	12
PREAMBLE	12
PARTICULARS OF OPERATION	13
OWNERSHIP STRUCTURE	13
HARMONY GOLD KUSASALETHU LOCATION AND BACKGROUND	18
KUSASALETHU LOCALITY	18
NATURE OF THE OPERATION	18
NEW LIFE-OF-MINE STRATEGY	18
LIFE OF MINE BACKGROUND	19
BREAKDOWN OF EMPLOYEE PER LABOUR SENDING AREA	19
SUBMISSION OF THE SOCIAL AND LABOUR PLAN	21
VISION AND OBJECTIVES FOR THE SLP	22
SECTION 2: SKILLS DEVELOPMENT PROGRAMMES / PLAN	24
SUMMARY OF WORKFORCE PLAN ALIGNMENT TO BUSINESS PLAN	24
INTRODUCTION AND APPROACH	25
SKILLS DEVELOPMENT PLAN	26
RECRUITMENT OF EMPLOYEES FROM LABOUR-SENDING COMMUNITIES OUTSIDE SOUTH AFRICA	26
BASLINE SITUATION (FORM Q) (AS PER MARCH 2022) (KUSASALETHU MINE AND PLANT)	27
ADULT EDUCATION AND TRAINING (AET)	34
AET FACILITIES AND CENTRES	36
CORE BUSINESS SKILLS TRAINING	36
LEARNERSHIPS	38
LEADERSHIP DEVELOPMENT	40
MANAGEMENT AND SUPERVISORY DEVELOPMENT	40
PORTABLE SKILLS TRAINING	41
CAREER PROGRESSION	42
PIPELINE FOR CAREER PROGRESSION FOR EACH OF THE CORE CAREER DISCIPLINES	45
TALENT POOL	50
MENTORSHIP	51
BURSARIES	51
INTERNSHIPS	52
EMPLOYMENT EQUITY BASELINE (AS PER MARCH 2022)	53
EMPLOYMENT EQUITY PLANS AND TARGETS (2023 – 2027)	56
SECTION 3: MINE COMMUNITY DEVELOPMENT	62
OVERVIEW	62
SOCIAL AND ECONOMIC BACKGROUND INFORMATION (REGULATION 46 (C) (I))	63
POPULATION, GENDER AND LANGUAGE GROUPS	64
EDUCATION LEVELS	66
MAIN ECONOMIC ACTIVITIES	67
INCOME LEVELS	68
DEPENDENCY RATIO	69
ACCESS TO HEALTH SERVICES	71

CRIME STATISTICS	71
VULNERABLE GROUPS	71
KEY ECONOMIC ACTIVITIES (REGULATION 46 (C) (II))	72
WEST RAND DISTRICT MUNICIPALITY	72
MERAFONG CITY LOCAL MUNICIPALITY	74
SOCIO-ECONOMIC IMPACT OF OPERATIONS - REGULATION 46 (C) (II) (B)	75
LOCAL ECONOMIC DEVELOPMENT PROJECT	76
PROCUREMENT AND SUPPLIER DEVELOPMENT PLAN	81
PROCUREMENT PROGRESSION PLAN: INTRODUCTION	81
CURRENT STATUS OF HARMONY MINES AGAINST REVISED MINING CHARTER 2018 TARGETS	81
MENTORING OF EMPOWERMENT GROUPS (ED AND SMME SUPPORT)	84
ESD FRAMEWORK	85
BUSINESS DEVELOPMENT CENTRES (BDCs)	87
LOCATION OF THE BUSINESS DEVELOPMENT CENTRES (BDC)	88
STAKEHOLDERS	88
FINANCIAL PROVISION	88
HOUSING AND LIVING CONDITIONS	90
SUBMISSION OF A HOUSING AND LIVING CONDITIONS PLAN FOR MINING LICENCES	90
MUNICIPALITY STRATEGY TO ADDRESS HOUSING	90
STRATEGY AND MEASURES TO ADDRESS HOUSING AND LIVING CONDITIONS	90
HOUSING STRATEGY	90
CURRENT STATUS OF AVAILABLE HOUSING OPTIONS FOR EMPLOYEES	91
NEW HOME OWNERSHIP MODEL	91
FUNDING CREDIT FACILITIES INFORMATION – IEMAS	92
CURRENT STATUS OF HOUSES WITHIN SOUTH AFRICA, PER PROVINCES	92
WORKFORCE PREFERRED REQUIREMENTS FOR HOUSING AND LIVING CONDITIONS	94
HOSTEL UPGRADE	94
PROCLAMATION OF MINE VILLAGES	96
BACKGROUND INFORMATION	96
MULTI-DISCIPLINARY TASK TEAM	96
DONATION OF LAND TO LOCAL MUNICIPALITIES	96
FINANCIAL PROVISION – HOUSE AND LIVING CONDITIONS	97
HEALTH AND NUTRITION	97
MEASURES TO ADDRESS NUTRITION: NUTRITION MANAGEMENT	97
ADDITIONAL INFORMATION	97
ENERGY REQUIREMENT	98
MACRO-NUTRIENT REQUIREMENT	98
MICRO-NUTRIENT REQUIREMENT	98
MACRO-NUTRIENT AS % ENERGY:	99
NUTRITION PLAN	99
NUMBER OF MEALS	99
SOUTH AFRICAN FOOD-BASED DIETARY GUIDELINES (REVISED 2012)	99
QUALITY MANAGEMENT SYSTEM	99
DIETARY PLAN	100
MENU	102
SECTION 4: MANAGEMENT AND DOWNSCALING AND RETRENCHMENT	105
PROCESS FOR THE MANAGEMENT OF DOWNSCALING AND RETRENCHMENT	105
MECHANISMS TO AVOID JOB LOSSES AND A DECLINE IN EMPLOYMENT	108
ALTERNATIVE SOLUTIONS AND PROCEDURES FOR CREATING JOB SECURITY WHERE JOB LOSSES CANNOT BE AVOIDED	109

MECHANISMS TO AMELIORATE THE SOCIAL AND ECONOMIC IMPACT OF THE DOWNSCALING AND CLOSURE.	110
VOLUNTARY OR COMPULSORY EARLY RETIREMENT	110
VOLUNTARY SEVERANCE PACKAGES	110
STOPPING NEW RECRUITMENT	111
TERMINATION OF SERVICES OF TEMPORARY AND CONTRACTED LABOUR	111
EMPLOYMENT IN OTHER COMPANIES OUTSIDE OF HARMONY	111
ADJUSTMENTS TO WORKING ARRANGEMENTS	111
REDUCTION OF OVERTIME	111
WORKING ON OFF DAYS.....	111
SECTION 189 AND 189A OF THE LRA	111
SECTION 52 OF THE MPRDA.....	112
NATIONAL SOCIAL PLAN GUIDELINES	112
MORATORIUM RECRUITMENT OF NEW EMPLOYEES.....	112
PORTABLE SKILLS TRAINING	112
NEDLAC SOCIAL PLAN AGREEMENT.....	112
DEPARTMENT OF LABOUR.....	112
COMPLIANCE TO THE MINING CHARTER 2018 AND IDP OF THE MINING COMMUNITIES AND LABOUR-SENDING REGIONS	113
SECTION 5: FINANCIAL POSITION	115
FINANCIAL PROVISION	115
HUMAN RESOURCE DEVELOPMENT COMMITMENT.....	116
LOCAL ECONOMIC DEVELOPMENT COMMUNITY PROJECTS	116
TOTAL SLP FINANCIAL COMMITMENT	117
SECTION 6: UNDERTAKING	119
UNDERTAKING	120

ACRONYMS

ACRONYM	TERM
AET	Adult Education and Training
AMDR	Acceptable macronutrient distribution range
ATR	Annual Training Report
BBBEE	Broad-based Black Economic Empowerment
BBSEE	Broad-based Socio-Economic Empowerment
BDCs	Business Development Centres
BEE	Black Economic Empowerment
DMR	Department of Mineral Resources
DMRE	Department of Minerals and Energy
DRI	Dietary Reference Intake
DTI	Department of Trade and Industry
E-AET	Electronic Adult Education Training
EAR	Estimated average requirement
EE	Employment Equity
ESD	Enterprise and Supplier Development
ETD	Education Training and Development
EXCO	Executive Committee
FY	Financial Year
GET	General Education and Training
HARMONY	Harmony Gold Mining Company Ltd and or Company
HDP	Historically Disadvantaged Persons
HDP	Historically disadvantaged South Africans as defined in the Mineral and Petroleum Resources Development Act
HR	Human Resources
HRD	Human Resources Development
ICT	Information and Communication Technology
IDC	Industrial Development Corporation
IDP	Individual/Integrated Development Plan
IEB	Independent Examinations Board

ACRONYM	TERM
IFC	International Finance Corporation
KPI	Key Performance Indicators
LDP	Leadership Development Programme
LED	Local Economic Development
LRA	Labour Relations Act 66 of 1995
MCD	Mining Community Development
MLM	Merafong Local Municipality
MPRDA	Mineral and Petroleum Resources Development Act 28 of 2002
MQA	Mining Qualifications Authority
NDP	National Development Plan
NEDLAC	National Economic Development and Labour Council
NEF	National Empowerment Fund
NQF	National Qualifications Framework
NUM	National Union of Mineworkers
NYDA	National Youth Development Agency
OEMs	Original Equipment Manufacturers
PNG	Papua New Guinea
Pty	Proprietary
QCTO	Quality Council for Trades and Occupations
RDA	Recommended daily allowance
SAC	Single Accommodation Complex
SADC	South African Development Community
SAQA	South African Qualifications Authority
SDF	Skills Development Facilitator
SDP	Skills Development Plan
SEDA	Small Enterprise Development Agency
SEFA	Small Enterprise Finance Agency
SETA	Sectorial Education and Training Authority
SLP	Social and Labour Plan
SMME	Small, Medium and Micro Enterprises

ACRONYM**TERM**

TUI	Tolerable upper intake
UIF	Unemployment Insurance Fund
WRDM	West Rand District Municipality
WSP	Workplace Skills Plan

BACKGROUND

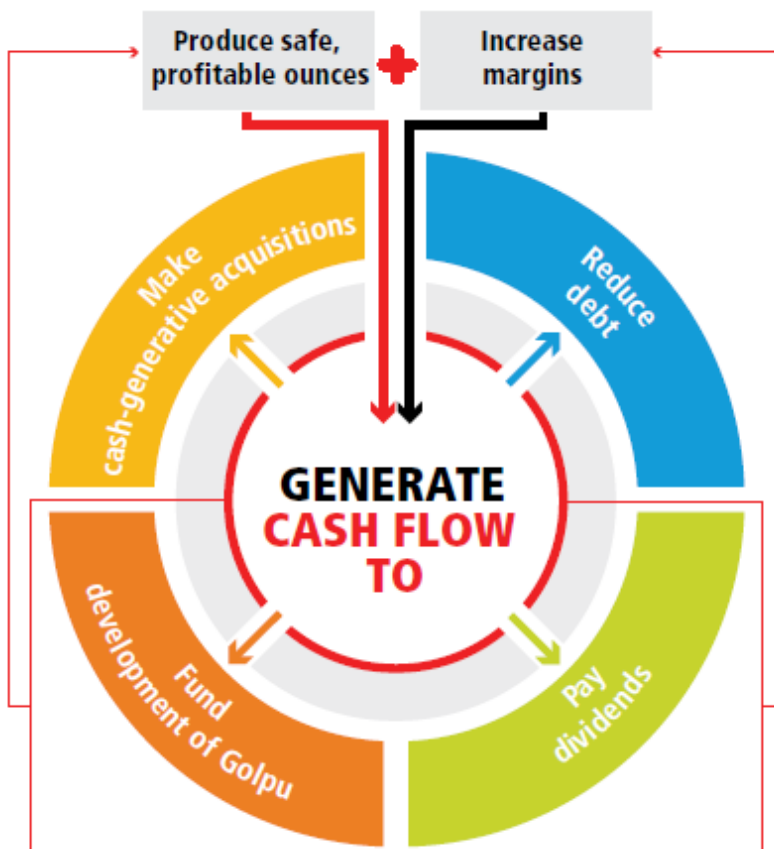
HARMONY GOLD

Harmony Gold Mining Company Limited (Harmony), a gold mining and exploration company, conducts its activities in South Africa, one of the world's best-known gold mining regions, and in Papua New Guinea, one of the world's premier new gold-copper regions. Harmony, which has more than seven decades of experience, was South Africa's third-largest gold producer and the twelfth largest in the world in Financial Year (FY) 16. At Harmony, we understand the significant impact our company has on the lives of people, on the communities that surround our mines, on the environment, and on the economic well-being of the countries in which we operate.

Our company delivers long-term benefits to a broad range of stakeholders. We rely on experienced, skilled teams who live our values and play their role in maintaining stakeholder relationships, growing profits and maintaining a sustainable company.

The company is governed by a board of directors which brings together a range of skills and experience and whose members are committed to maintaining the highest levels of corporate governance. In turn, the directors entrust the management of Harmony to skilled management teams which work towards ensuring that the company remains sustainable, improving margins and increasing the value of our assets.

Our Strategy



Our Values

As a company, Harmony understands that long-term value is about more than the commodities we produce and the profits we make. Our worth is also reflected in the impact we have on the lives of people, now and in the future.

Harmony lives its values – safety, being accountable, achievement and being connected and honest. These are the compass points for our actions, ensuring that, in addition to achieving our strategic goals, we seek to make the right decisions and support the members of our teams in doing so. Our values are ingrained in our training initiatives and decision-making processes, ensuring that they are at the front of employees' minds and actions, extending beyond our operations' gates. They guide our interactions with external stakeholders, from shareholders and the media to local communities, including those from which our employees are drawn. Our hope is that through our commitment, we can build a company with which people want to be associated and which will generate shared value in the future.







SECTION 1 OVERVIEW

This section includes information pertaining to, but not limited to, the particulars of the operation, its ownership structure, life of the operation and a breakdown of the employees per labour sending area.

IMPORTANT NOTE:

This Operation is coming to the end of its lifetime and plans to still operate has been put in place for another one (1) year. However, this might change and will be determined by factors including, but not limited to, gold price, strength of the Rand, availability of reserves, etc.



SECTION 1: PREAMBLE

PREAMBLE

This section is in line with Regulation 46 (a) of the Mineral Petroleum Resources Development Act (Act 28 of 2002) (MPRDA). According to the regulations the Preamble must include an overview of the Social and Labour Plan (SLP) and background information on the specific operation.

Harmony, is a world-class gold and copper mining and exploration company, operates in South Africa and Papua New Guinea, one of the world's premier new gold-copper regions. With more than 70 years in the industry, Harmony is an experienced emerging market gold miner and one of the largest gold producers by volume in South Africa.

Harmony has nine underground operations in South Africa. The operations are located as follows: one in the Klerksdorp goldfield; three in the West Rand; and five in the Free State. In addition, Harmony has an open pit mine on the Kraaipan Greenstone Belt as well as several surface treatment operations.

In June 2021, the Harmony South African operations accounted for 71% of group Mineral Resources (gold and gold equivalent ounces) and 58% of group Mineral Reserves (Harmony, 2022).

In line with Regulation 46(a): Introduction to and background information to the operation

PARTICULARS OF OPERATION

Name of company	Harmony Gold Mining Company Limited
Name of mine	Kusasaletu Mine and Plant
Physical address	Portion 9 of the farm Buffelsdoorn 143 IQ 2.0 Km north of the N12 highway towards Carletonville Carletonville District North West Province
Postal address	C/O Harmony Gold Mining Company Limited P O Box 2 Randfontein 1760
Telephone number	(018) 782 9257
Fax number	(018) 782 1132
Commodity	Gold
Financial year	The financial year of the Company runs from July to June of the following year.
Location of mine	Kusasaletu mine is situated some 85km south west of Johannesburg in the North West Province. Located at approximate latitude 26000"S and longitude 27000"E, the site is accessed through the national highway N12 between Johannesburg and Potchefstroom.
Mining right number	GP 30/5/1/2/5/07MR
Reporting Year	Annual reporting will be done on the calendar year and will be submitted by 31 March of each year
For further information in relation to this document please contact	(018) 782 9257

Ownership structure

In terms of the Mining Charter Broad-based Socio-Economic Empowerment Charter (BBSEE) for the South African Mining and Minerals Industry, mining companies should commit to meaningful participation of Historically Disadvantaged Persons (HDP) entities in the mining industry for attainment of sustainable growth of the mining industry. This will be achieved through the achievement of a minimum target of 26% ownership to enable meaningful economic participation of HDP. The Mining Charter further provides for the continuing consequences of all previous deals to be included in calculating HDP ownership credits in terms of market share as measured by attributable units of production.

Harmony is committed to economic transformation and empowerment in South Africa. Based on the above provisions of the Mining Charter, Harmony entered into numerous broad-based black economic (BBBEE) transactions; and as at 31 December 2020, the HDP ownership level in Harmony is at 53.73%.

HARMONY GOLD

NO.	PRINCIPLE COMPANY NAME (MINING RIGHT HOLDER)	IDENTIFIABLE BENEFICIARIES (COMMUNITY, ESOPS, BEE ENTREPRENEUR, OTHER BROAD-BASED GROUPS)	NAME OF BENEFICIARY HISTORICALLY DISADVANTAGED SOUTH AFRICANS (HDP)	REGISTRATION NO	IDENTIFIABLE BENEFICIARIES				
					COMMUNITY	ESOPS	BEE ENTREPRENEUR	OTHER BROADBASED GROUPS I.E. CONSORTIUMS ETC.	TOTAL - CURRENT BEE %
					%	%	%	%	%
1	Harmony Gold Mining Company Limited and its subsidiaries	Other Broad-based Groups	African Rainbow Minerals Limited	1933/004580/06				22,04%	22,04%
2	Harmony Gold Mining Company Limited and its subsidiaries	ESOPS	Tlhakanelo Employee Share Trust	IT738/2012		2,46%			2,46%
3	Harmony Gold Mining Company Limited and its subsidiaries	Other Broad-based Groups	Simane Security Investments (Proprietary) Limited	2000/006452/07				12,95%	12,95%
4	Harmony Gold Mining Company Limited and its subsidiaries	Other Broad-based Groups	Africa Vanguard Resources (Proprietary) Limited	2000/014503/07				1,77%	1,77%



HARMONY GOLD

NO.	PRINCIPLE COMPANY NAME (MINING RIGHT HOLDER)	IDENTIFIABLE BENEFICIARIES (COMMUNITY, ESOPS, BEE ENTREPRENEUR, OTHER BROAD-BASED GROUPS)	NAME OF BENEFICIARY HISTORICALLY DISADVANTAGED SOUTH AFRICANS (HDP)	REGISTRATION NO	IDENTIFIABLE BENEFICIARIES				
					COMMUNITY	ESOPS	BEE ENTREPRENEUR	OTHER BROADBASED GROUPS I.E. CONSORTIUMS ETC.	TOTAL - CURRENT BEE %
					%	%	%	%	%
5	Harmony Gold Mining Company Limited and its subsidiaries	Other Broad-based Groups	Open Solutions (Proprietary) Limited / Khumo Bathong Holdings (Proprietary) Limited	1997/022049/07; 1998/007546/07				1,29%	1,29%
6	Harmony Gold Mining Company Limited and its subsidiaries	Other Broad-based Groups	Beneficiation through Rand Refinery (Pty) Ltd	1920/006598/06				11,00%	11,00%
7	Harmony Gold Mining Company Limited and its subsidiaries	Community and Other Broad-based Groups	Sikhuliso Resources (Proprietary) Limited ('Sikhuliso') – 16% using Histopath (Proprietary) Limited ("Sikhuliso SPV"); Kopano Resources (Proprietary) Limited (subsidiary of Kopano Ke Matla Investment Company (Pty) Ltd –	2012/082229/07; 2012/035756/07; 2012/030646/07; 2012/030648/07; IT 248 / 213	0,12%			0,62%	0,75%



HARMONY GOLD

NO.	PRINCIPLE COMPANY NAME (MINING RIGHT HOLDER)	IDENTIFIABLE BENEFICIARIES (COMMUNITY, ESOPS, BEE ENTREPRENEUR, OTHER BROAD-BASED GROUPS)	NAME OF BENEFICIARY HISTORICALLY DISADVANTAGED SOUTH AFRICANS (HDP)	REGISTRATION NO	IDENTIFIABLE BENEFICIARIES				
					COMMUNITY	ESOPS	BEE ENTREPRENEUR	OTHER BROADBASED GROUPS I.E. CONSORTIUMS ETC.	TOTAL - CURRENT BEE %
					%	%	%	%	%
			3% using Business Venture Investments No 1677 Proprietary Limited; Mazincazelane Investments (Proprietary) Limited – 3% using Business Venture Investments No 1687 Proprietary Limited; Malibongwe Women Development Trust – 3% using Business Venture Investments No 1688 Proprietary Limited. The Harmony Gold Community Trust						

HARMONY GOLD

NO.	PRINCIPLE COMPANY NAME (MINING RIGHT HOLDER)	IDENTIFIABLE BENEFICIARIES (COMMUNITY, ESOPS, BEE ENTREPRENEUR, OTHER BROAD-BASED GROUPS)	NAME OF BENEFICIARY HISTORICALLY DISADVANTAGED SOUTH AFRICANS (HDP)	REGISTRATION NO	IDENTIFIABLE BENEFICIARIES				
					COMMUNITY	ESOPS	BEE ENTREPRENEUR	OTHER BROADBASED GROUPS I.E. CONSORTIUMS ETC.	TOTAL - CURRENT BEE %
					%	%	%	%	%
8	Harmony Gold Mining Company Limited and its subsidiaries	Other Broad-based Groups	Pan African Resources plc / Shanduka Resources	3937466 / 2002/017835/07				1,47%	1,47%
9	Harmony Gold Mining Company Limited and its subsidiaries	Community	The Harmony Gold Community Trust	IT 248 / 213	1,00%				1,00%
10	Harmony Gold Mining Company Limited and its subsidiaries	ESOPS	The Harmony ESOP Trust	IT 001237 / 2018(G)	1,50%				1,50%
					2,62%	2,46%		51,14%	56,23%

HARMONY GOLD KUSASALETHU LOCATION AND BACKGROUND

Kusasaletu locality

The Kusasaletu operation is situated on the West Wits Line and is located between the Savuka and Mponeng mines to the east and the dormant Deelkraal to the west. Kusasaletu mine is situated 14km south of Carletonville and 90km southwest of Johannesburg (Figure 1).

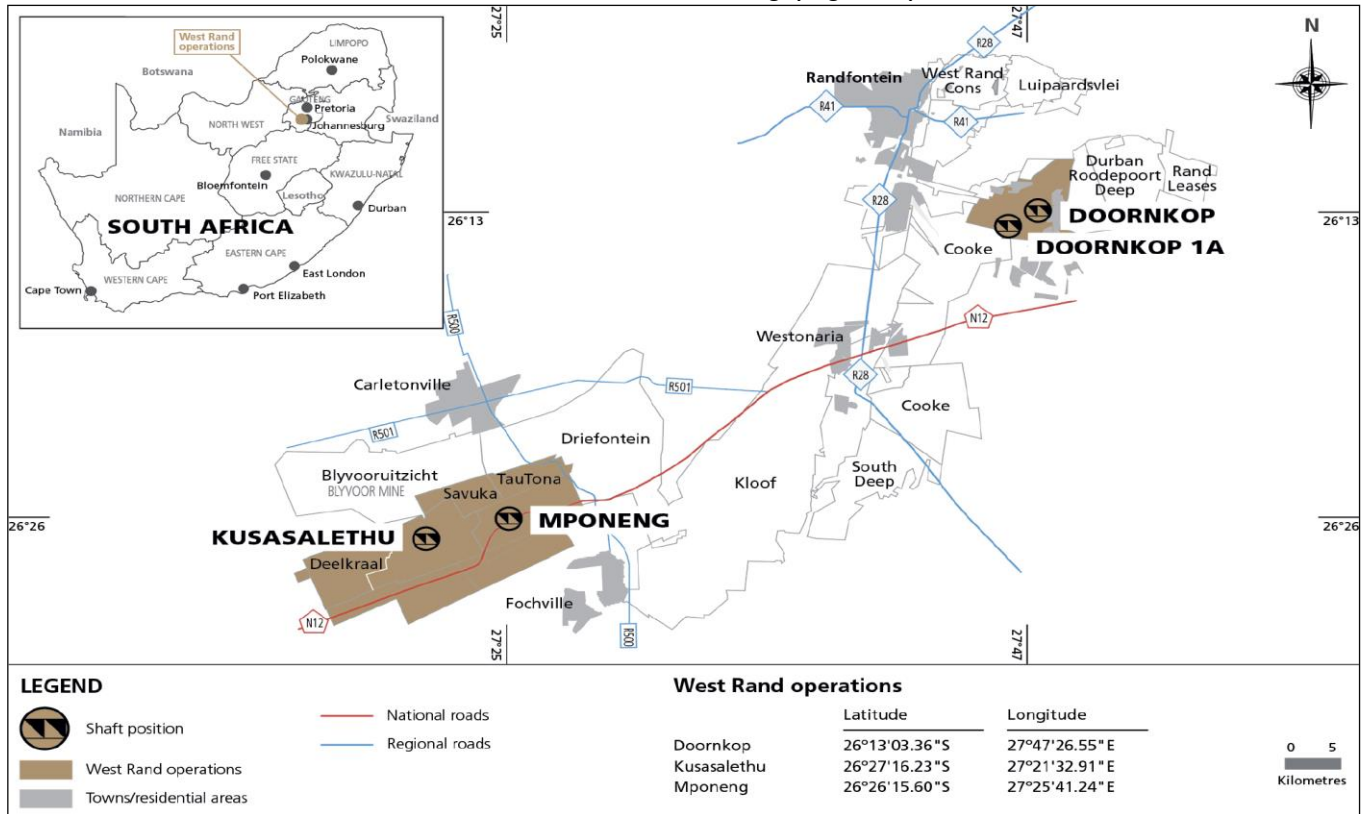


Figure 1: Locality map

Nature of the operation

The Kusasaletu operation is a mature, deep-level mine 90km west of Johannesburg, near the Gauteng-North West provincial border. The current life of mine is estimated at three years. Mine infrastructure comprises twin vertical and twin sub-vertical shaft systems. Conventional mining methods are used in a sequential grid layout with mining depths reaching 3 388m below surface where the VCR is the primary orebody exploited. Ore mined is treated at the Kusasaletu plant.

New life-of-mine strategy

The decrease in reserves at Kusasaletu operation was a result of normal depletion and the revised, shortened life-of-mine plan for Kusasaletu operation. This plan aims to optimize the mine's cash flow at a higher grade and create a much stronger margin and to provide the flexibility, if we so choose, of accessing the high-grade pay shoot of the Ventersdorp Contact Reef below infrastructure.

LIFE OF MINE BACKGROUND

Gold production increased substantially to 3 999kg, owing largely to a 15% increase in the recovered grade, improved mining efficiencies and a similar increase in the volume of ore milled. Revenue rose 48% to R3 400 million reflecting high productivity and a 15% increase in average gold price received at R854 201/kg. Cash operating costs were 16% higher at R2 969 million mainly due to annual wage and electricity tariff increases. Ongoing development added 9% to capital expenditure of R205 million. The operating free cash flow of R226 million compares with a negative operating cash flow of R458 million in FY20. This improvement was mainly due to the 48% increase in revenue versus gradual increases in cash operating cost and capital expenditure. The 10m-diameter rock/ventilation shaft was initially sunk to 2 195m and the man/material shaft to 2 127m. By June 1984, a 10m-diameter sub-vertical rock/service shaft had been completed to a depth of 3 048m and a 7m-diameter sub-vertical ventilation shaft to a depth of 3 048m. Both shafts were deepened to a final depth below surface of 3 318m and 3 388m respectively as part of the deepening project to extract the higher-grade pay shoot towards the west of the mine. In December 2014, a decision was taken to suspend operations in the old portion of Kusasaletu operation and to restructure the mine. Subsequently, mining above 98 level ceased.

Breakdown of employee per labour sending area

A breakdown of the labour sending areas and outside contractors are provided in Table 1 and

Table 2 respectively.

Table 1: Labour sending areas

LABOUR SENDING AREAS (EXCLUDING BOARD AND TOP MANAGEMENT)		
EMPLOYEES		
Country	Employees	% of Total
South Africa	3151	83.3%
Botswana	4	0.1%
Lesotho	393	10.4%
Mozambique	119	3.1%
South Africa (Foreign National with permanent residency)	36	1.0%
Swaziland	80	2.1%
Total	3783	

Table 2: Outside contractors

OUTSIDE CONTRACTORS		
COUNTRY	EMPLOYEES	% OF TOTAL
South Africa	527	95.1%
Lesotho	6	1.1%
Mozambique	13	2.3%
South Africa (Foreign National with permanent residency)	5	0.9%
Swaziland	1	0.2%
Zimbabwe	2	0.4%
Total	554	

SUBMISSION OF THE SOCIAL AND LABOUR PLAN

This SLP has been prepared by Harmony Gold Mining Company Ltd (Harmony) Kusasalethu Mine and Plant in accordance with the requirements of the MPRDA.

This SLP is prepared in accordance with Section 2 of the Regulations of the MPRDA and is a prescribed plan for dealing with the social and labour issues for the remaining life of every mining right.

This SLP is valid from January 2023 and will continue for five years until December 2027.

The SLP requires applicants for mining and production rights to develop and implement comprehensive Human Resources Development Programmes (HRD), Mine Community Development MCD) Plans, Housing and Living conditions Plans, EE Plans and processes to save jobs and manage downscaling and / or closure. This is aimed at promoting employment and advancement of the social and economic welfare of all South Africans whilst ensuring economic growth and socio-economic development.

The five-year period as stipulated in the current SLP for the operation has expired. For this reason, it is important to revise the period in line with the strategic planning for the Operation.

We draw your attention to Section 43 and 44 of the regulations to the MPRDA which reads as follows:

- “43. A Social and Labour Plan lodged with the Regional Manager are valid until a closing certificate has been issued in terms of section 43 of the Act.”
- “44. A Social and Labour Plan may not be amended or varied without the consent of the Minister after the granting of the mining right to which such Social and Labour Plan pertains.”

The starting point for this SLP, which will serve as the first year of the next five-year cycle from which the company intends to progress, is the calendar year beginning in January 2023.

NOTE: *Year 1 – 2023 Year 2 – 2024 Year 3 – 2025 Year 4 – 2026 Year 5 – 2027*

The objectives of the Social and Labour Plan are to:

- Promote economic growth
- Promote employment and advance the social and economic welfare of all South Africans
- Contribute towards the socio-economic development of the areas in which we operate
- To utilize and expand the existing skills base for the empowerment of Historically Disadvantaged South Africans and to serve the community

Harmony's SLPs are therefore aimed at extending the life of the mines, improving the skills of all its employees, the transforming of its mines, as well as the normalisation of the company and the socio-economic development of communities around its mines from which Harmony recruits its employees.

For further information
in relation to this
document please
contact:
(018) 782 9257

VISION AND OBJECTIVES FOR THE SLP

Harmony are a responsible global gold producer, committed to sustainable development and creating shared value for all of its stakeholders. This social and labour plan has been developed to incorporate Harmony's vision (Figure 2) and objectives (Figure 3) for the communities with their zone of influence beyond the life of the operation. Through this SLP as well as continuous transparent interaction between Harmony Gold and its stakeholders, the company strives to build lasting relationships and partnerships to ensure that the opportunities it creates are impactful, enhance community and economic development and leave a lasting positive legacy.

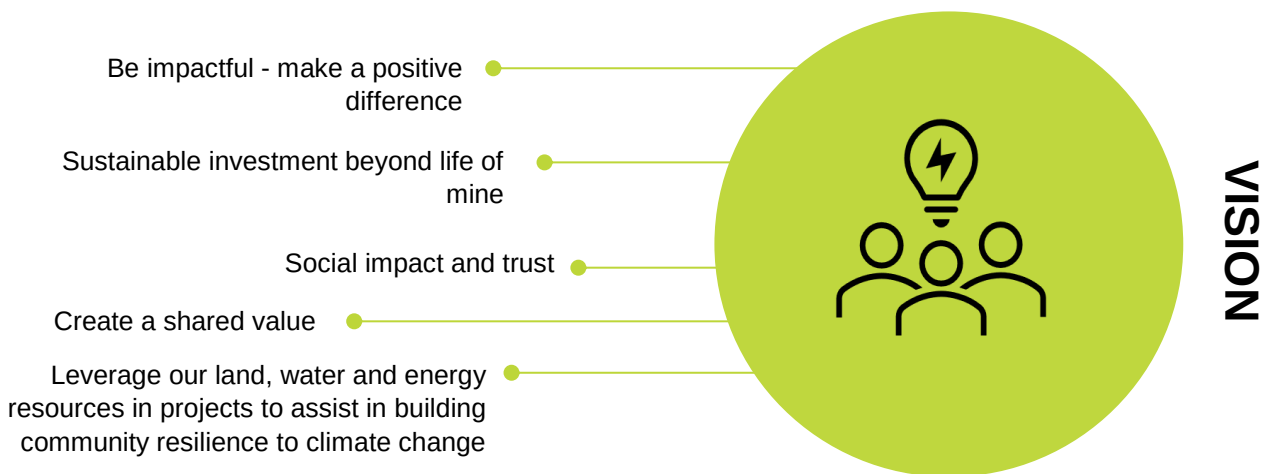


Figure 2: Vision

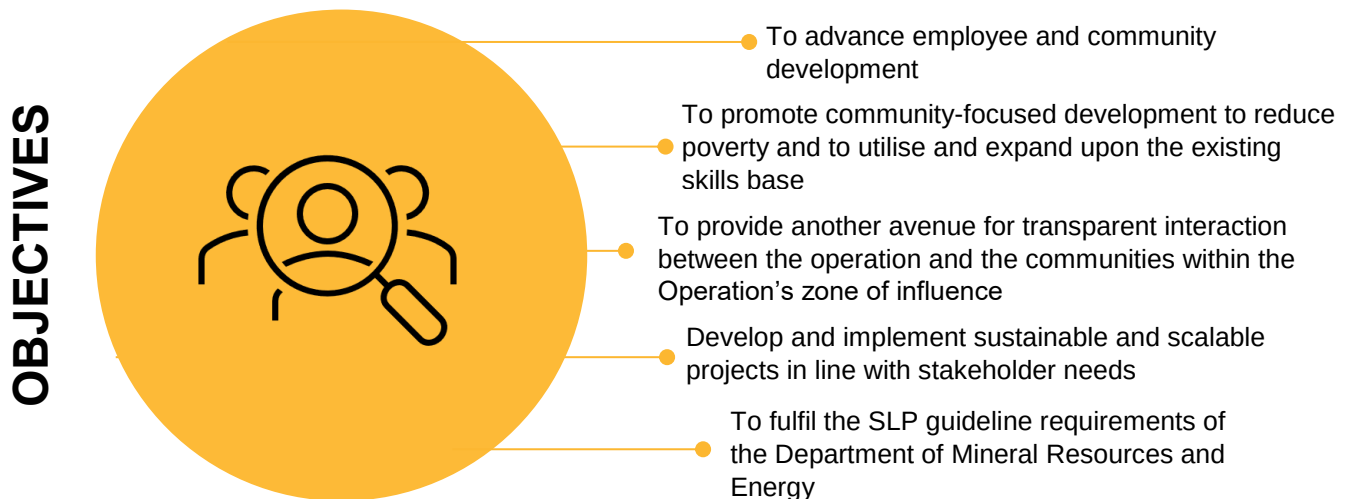


Figure 3: Objectives



SECTION 2 OVERVIEW

The objective of the HRD programmes is to develop the growth of necessary skills for a mining operation in respect of skills development. This section provides an overview of skills development programmes within the context of this SLP.

IMPORTANT NOTE:

This Operation is coming to the end of its lifetime and plans to still operate has been put in place for another one (1) year. However, this might change and will be determined by factors including, but not limited to, gold prize, strength of the Rand, availability of reserves, etc.



SECTION 2: SKILLS DEVELOPMENT PROGRAMMES / PLAN

SUMMARY OF WORKFORCE PLAN ALIGNMENT TO BUSINESS PLAN

This section outlines the Kusasalethu Operation's HRD Programmes as required by Section 46 of the Regulations to the MPRDA. Harmony's primary objective for HRD is to foster the development of essential skills. Programmes to support skills development are as follows: Adult Education and Training (AET); Business Skills training; Learnership; Portable Skills training; Career Progression; Mentorship; and Bursaries and Internship. Equally important is Harmony's focus on advancing EE. Harmony's HRD programmes have been set by considering the operations' business needs, plans and strategies. To implement the HRD Programmes, Harmony will utilise accredited providers, where applicable, for their training needs. This will ensure the ongoing facilitation of transferable and accredited skills amongst employees. Moreover, Harmony will comply with the requirements of the Skills Development Act (No 97 of 1998) and will submit Workplace Skills Plans (WSP) and annual training reports to the Mining Qualifications Authority (MQA).

Harmony is an accredited training provider registered with the MQA and Quality Council for Trades and Occupations and complies with all applicable regulations pertaining to such accreditation. Progress in the provision of skills development programmes will be reported annually in the Annual Training Report (ATR), which is submitted to the MQA.

In line with Regulation 46(b): Human resources development programme

- *Regulation 46(b)(i): Skills development plan*
- *Regulation 46(b)(ii): A career progression plan and its implementation in line with the skills development plan*
- *Regulation 46(b)(iii): A mentorship plan and its implementation in line with the skills development plan*
- *Regulation 46(b)(iv): An internship and bursary plan and its implementation in line with the skills development plan*
- *Regulation 46(b)(v): The employment equity statistics*

HUMAN RESOURCE DEVELOPMENT PLAN: REGULATION 45 (B) (I), (II), (III), (IV) AND (V)

Introduction and approach

Harmony supports an inclusive talent and human development model where career opportunities are primarily created from within the organisation and external recruitment is only considered if a vacancy cannot be filled from our talent pipeline. The Harmony learning and development function is responsible for the Harmony People Development policy, systems and quality control, however the Operation is capacitated and empowered to implement the policies.

This section of the SLP deals comprehensively with Operation's five-year plan to achieve the optimal development of its human resources through education, training and development (ETD) interventions, as envisaged in the MPRDA, and the Mining Charter, which is monitored by means of the accompanying scorecard.

It also deals with the Skills Development Act in order to ensure the development of skills of the South African workforce to improve the quality of life of workers and their prospects of work as well as to improve productivity in the workplace and the competitiveness of employers and to promote self-employment. The company's SETA registration is presented in Table 3.

Table 3: Details of the SETA registration

NAME OF SETA	Mining Qualifications Authority
REGISTRATION NUMBER WITH THE RELEVANT SETA	04-MQQA/SDP190122-4151
CONFIRMATION OF HAVING APPOINTED A SKILLS DEVELOPMENT FACILITATOR	Yes
PROOF OF SUBMISSION OF WORKPLACE SKILLS PLAN	Workplace Skills Plans are submitted annually
LEVY NUMBER	L650710538

Skills development plan

In compliance with the Skills Development Act, the Operation submits, on an annual basis, the WSP and the ATR to the MQA. The ATR outlines how employees are trained throughout the year in all identified areas of their training needs. The Operation will align its plans with the skills development strategy of Harmony and will ensure a platform for skills development is created.

These reports are developed annually by the designated skills development facilitators (SDF's), in consultation with the HRD committees and the Corporate HRD committees. The HRD committees contribute to ensuring that EE and Gender Equity targets are met through employee development. These employee development plans are aligned with the WSP.

Operations also pay the skills development levy and claims grants for training provided as per the relevant legislation and regulations.

The objective of the skills development plans within Harmony consists of the following:

- Train employees to achieve full potential within their current positions and promote productivity in the workplace
- Ensure a competent workforce
- Ensure employees are sufficiently trained and ready for the next level of their careers
- Talent identification and management of talented employees
- Retention of qualified employees
- The Operation is fully committed to providing all its employees with the necessary opportunities to participate in training and development

Recruitment of employees from labour-sending communities outside South Africa

The recruitment of employees from Lesotho, Mozambique, Swaziland and Botswana is per inter-governmental agreements.

The wages, working hours, leave entitlements (including sick and family responsibility leave), provident fund provisions, medical incapacity benefits and other terms and conditions of employment of South African Development Community (SADC) employees are the same as for South African employees. Furthermore, they are entitled to equal compensation for occupational injuries and diseases and are entitled to the same training and development opportunities as South African employees. They are also allowed to join and participate fully in trade union activities, have freedom of movement and enjoy the same labour rights and protections against unfair dismissal.

Harmony, on behalf of this Operation, has further concluded an agreement with recognised trade unions, which provides that SADC employees will be entitled to the same accommodation opportunities as South African employees in respect of living quarters, living-out allowances and married quarters. However, legislative provisions preclude SADC employees from state housing subsidies in South Africa. It should be noted that the Lesotho and Mozambican inter-governmental agreements provide for approximately 30% of these migrant employees' earnings to be remitted back as compulsory deferred

pay to their home countries. These remittances, however, provide a revenue stream for these labour-sending communities, without which rural poverty would be exacerbated.

An additional factor impacting migrant employees is the fact that they are recruited by the way of 'corporate permits' granted in the Immigration Act (Act 13 of 2002). As such, these employees may not be accompanied by their families permanently, although family members who obtain visitor permits are permitted to visit such migrant employees for limited periods.

Such employees are also required to return to their home countries periodically, but may acquire the right to permanent residence in South Africa on application.

Consequently, subject to compliance with South African law and the inter-governmental agreements, the Operation does not, and further undertakes not to discriminate against migrant employees from SADC countries.

Baseline situation (Form Q) (as per March 2022) (Kusasaletu Mine and Plant)

The following tables, Table 4 (Form Q, direct) and Table 5, (Form Q, indirect) depict the education levels of the entire Harmony of Kusasaletu Mine and Plant workforce. Table 6 depicts the combined workforce number.

HARMONY GOLD

Table 4: Form Q Direct Employees

FORM Q FOR EMPLOYEES											TOTAL	
BAND	NQF LEVEL	QUALIFICATION DESCRIPTION	MALE				FEMALE					
			African	Coloured	Indian	White	African	Coloured	Indian	White	Male	Female
General Education and Training (GET)	Below Level 1	No Schooling / unspecified	14	0	0	0	1	0	0	1	14	2
		Grade 0 / Pre	77	0	0	0	1	0	0	0	77	1
		Grade 1 / Sub A	13	0	0	0	0	0	0	0	13	0
		Grade 2 / Sub B	7	0	0	0	0	0	0	0	7	0
		Grade 3 / Std 1 / AET 1	65	0	0	0	3	0	0	0	65	3
		Grade 4 / Std 2	52	0	0	0	1	0	0	0	52	1
		Grade 5 / Std 3 / AET 2	99	0	0	0	5	0	0	0	99	5
		Grade 6 / Std 4	105	0	0	0	0	0	0	0	105	0
		Grade 7 / Std 5 / AET 3	179	0	0	0	10	0	0	0	179	10
		Grade 8 / Std 6	149	0	0	0	11	0	0	0	149	11
	1	Grade 9 / Std 7 / AET 4	493	1	0	1	47	0	0	0	495	47
Further Education and Training (FET)	2	Grade 10 / Std 8 / N1	432	1	0	8	75	0	0	0	441	75
	3	Grade 11 / Std 9 / N2	461	1	0	4	99	0	0	0	466	99
	4	Grade 12 / Std 10 / N3	668	3	1	9	200	0	0	5	681	205
Higher Education and	5	Higher Certificates	220	2	1	95	61	1	0	0	318	62
	6	Diploma and Advanced Certificates	37	0	0	7	22	0	0	1	44	23

HARMONY GOLD

FORM Q FOR EMPLOYEES											TOTAL	
BAND	NQF LEVEL	QUALIFICATION DESCRIPTION	MALE				FEMALE					
			African	Coloured	Indian	White	African	Coloured	Indian	White	Male	Female
Training (HET)	7	Bachelor's Degree and Advanced Diplomas	16	0	0	3	7	0	0	3	19	10
	8	Honours Degree, Postgraduate Diploma and Professional Qualifications	2	0	0	1	0	0	0	0	3	0
	9	Master's Degree	0	0	0	0	2	0	0	0	0	2
	10	Doctoral Degree	0	0	0	0	0	0	0		0	0
		Total	3 089	8	2	128	545	1	0	10	3 227	556

HARMONY GOLD

Table 5: Form Q indirect employees

FORM Q FOR INDIRECT EMPLOYEES											TOTAL	
BAND	NQF LEVEL	QUALIFICATION DESCRIPTION	MALE				FEMALE					
			African	Coloured	Indian	White	African	Coloured	Indian	White	Male	Female
General Education and Training (GET)	Below Level 1	No Schooling / unspecified	358	0	0	32	35	0	0	1	390	36
		Grade 0 / Pre	0	0	0	0	0	0	0	0	0	0
		Grade 1 / Sub A	0	0	0	0	0	0	0	0	0	0
		Grade 2 / Sub B	0	0	0	0	0	0	0	0	0	0
		Grade 3 / Std 1 / AET 1	1	0	0	0	0	0	0	0	1	0
		Grade 4 / Std 2	0	0	0	0	0	0	0	0	0	0
		Grade 5 / Std 3 / AET 2	1	0	0	0	0	0	0	0	1	0
		Grade 6 / Std 4	1	0	0	0	0	0	0	0	1	0
		Grade 7 / Std 5 / AET 3	1	0	0	0	0	0	0	0	1	0
		Grade 8 / Std 6	3	0	0	0	0	0	0	0	3	0
1	Grade 9 / Std 7 / AET 4	3	0	0	1	0	0	0	0	4	0	
Further Education and Training (FET)	2	Grade 10 / Std 8 / N1	17	0	0	0	1	0	0	0	17	1
	3	Grade 11 / Std 9 / N2	16	0	0	1	1	0	0	0	17	1
	4	Grade 12 / Std 10 / N3	57	0	0	6	7	0	0	0	63	7
Higher Education and	5	Higher Certificates	4	0	0	7	0	0	0	0	11	0
	6	Diploma and Advanced Certificates	0	0	0	0	0	0	0	0	0	0



HARMONY GOLD

FORM Q FOR INDIRECT EMPLOYEES											TOTAL	
BAND	NQF LEVEL	QUALIFICATION DESCRIPTION	MALE				FEMALE				Male	Female
			African	Coloured	Indian	White	African	Coloured	Indian	White		
Training (HET)	7	Bachelor's Degree and Advanced Diplomas	0	0	0	0	0	0	0	0	0	0
	8	Honours Degree, Postgraduate Diploma and Professional Qualifications	0	0	0	0	0	0	0	0	0	0
	9	Master's Degree	0	0	0	0	0	0	0	0	0	0
	10	Doctoral Degree	0	0	0	0	0	0	0	0	0	0
		Total	462	0	0	47	44	0	0	1	509	45

HARMONY GOLD

Table 6: Form Q total for employees and core contractors

FORM Q FOR TOTAL WORKFORCE											TOTAL	
BAND	NQF LEVEL	QUALIFICATION DESCRIPTION	MALE				FEMALE					
			African	Coloured	Indian	White	African	Coloured	Indian	White	Male	Female
General Education and Training (GET)	Below Level 1	No Schooling / unspecified	372	0	0	32	36	0	0	2	404	38
		Grade 0 / Pre	77	0	0	0	1	0	0	0	77	1
		Grade 1 / Sub A	13	0	0	0	0	0	0	0	13	0
		Grade 2 / Sub B	7	0	0	0	0	0	0	0	7	0
		Grade 3 / Std 1 / AET 1	66	0	0	0	3	0	0	0	66	3
		Grade 4 / Std 2	52	0	0	0	1	0	0	0	52	1
		Grade 5 / Std 3 / AET 2	100	0	0	0	5	0	0	0	100	5
		Grade 6 / Std 4	106	0	0	0	0	0	0	0	106	0
		Grade 7 / Std 5 / AET 3	180	0	0	0	10	0	0	0	180	10
		Grade 8 / Std 6	152	0	0	0	11	0	0	0	152	11
1	Grade 9 / Std 7 / AET 4	496	1	0	2	47	0	0	0	499	47	
Further Education and Training (FET)	2	Grade 10 / Std 8 / N1	449	1	0	8	76	0	0	0	458	76
	3	Grade 11 / Std 9 / N2	477	1	0	5	100	0	0	0	483	100
	4	Grade 12 / Std 10 / N3	725	3	1	15	207	0	0	5	744	212
Higher Education and	5	Higher Certificates	224	2	1	102	61	1	0	0	329	62
	6	Diploma and Advanced Certificates	37	0	0	7	22	0	0	1	44	23

HARMONY GOLD

FORM Q FOR TOTAL WORKFORCE											TOTAL	
BAND	NQF LEVEL	QUALIFICATION DESCRIPTION	MALE				FEMALE				Male	Female
			African	Coloured	Indian	White	African	Coloured	Indian	White		
Training (HET)	7	Bachelor's Degree and Advanced Diplomas	16	0	0	3	7	0	0	3	19	10
	8	Honours Degree, Postgraduate Diploma and Professional Qualifications	2	0	0	1	0	0	0	0	3	0
	9	Master's Degree	0	0	0	0	2	0	0	0	0	2
	10	Doctoral Degree	0	0	0	0	0	0	0	0	0	0
		Total	3551	8	2	175	589	1	0	11	3736	601

Adult education and training (AET)

AET is the general conceptual foundation towards lifelong learning and development, comprising of knowledge, skills and attitudes. This programme was formally known as Adult Basic Education Training (ABET). The old ABET levels were previously equivalent to Grades R to 9 and consists of various learning areas.

The progression through AET levels is aimed at providing an opportunity for all employees to be functionally literate and numerate.

Figure 4 depicts the adult education and further education programme.

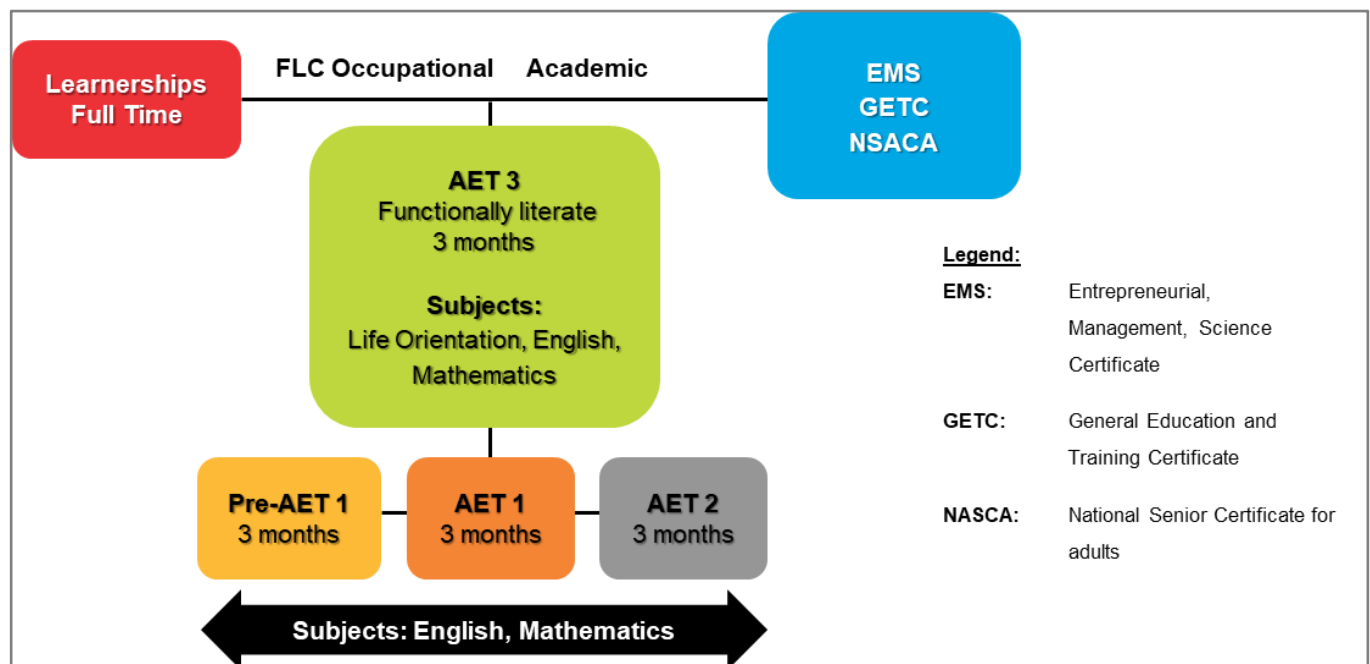


Figure 4: Adult and further education programme

Harmony offers full-time AET classes from Pre-AET to AET level 3. AET level 4 programme has been integrated into the recently introduced own time Electronic-Adult Education Training (E-AET), which is also offered at all levels. AET is flexible, developmental and targeted at the specific needs of particular individuals and, ideally, provides access to nationally recognised certificates. The Part-time and E-AET approach is designed to be flexible and dynamic, allowing continued education and training at own time that is capable of responding quickly to the needs for knowledge and skills.

During the past years, participation in AET programmes decreased as a result of downscaling of our workforce profile and as well as improvements in literacy levels of our younger employees.

Table 7: AET targets and financial provision

AET PROGRAMME	2023	2024	2025	2026	2027
AET	20	0	0	0	0
Total	20	0	0	0	0
Financial Provision	R 946 440	R0.00	R0.00	R0.00	R0.00
Total Financial provision (2023 – 2027)	R 946 440				

In order to achieve the targets of the next five years, the operation will intensify marketing strategies for AET programmes. Posters will be placed at strategic points across the operation and the HRD Committee will collaborate with management to promote AET enrolments. AET is a voluntary programme and whilst a concerted effort will be made to motivate employees to attend by sharing AET related info on a bi-annual basis, it remains a voluntary program which might influence achievements of targets.

Communication channels to be used to share AET related info, includes posters, involvement by the HRD committees, distribution of flyers and AET Days. An internal audit found that employees are fully aware of the AET facilities at the operation. Table 8 presents the AET training implementation plan for the next 5 years.

Table 8: AET Training Implementation Plan for 2023 – 2027

ACCOUNTABLE DEPARTMENT / PERSON	ACTIONS AND PLAN	TIMEFRAME
Human Resources (HR) Department	Execute the updated AET plan as outlined	Within 12 months
HR Department	Annually advertise and communicate the AET Programme to the employees	Annually in preparation for the programme
HR Department	Use channels that will create the most comprehensive level of awareness, e.g. posters on site, company newsletter and so forth	Annually in preparation for the programme
HR Department	Arrange/confirm a suitable accredited service provider	At the start of the new SLP, and then only when required
HR Department	Implement the training	Annually
HR Department	Record and report the results	Annually
HR Department	Review and revise the programme where required	Annually
In the Annual SLP report, report on progress of the applicable programme		

AET Facilities and Centres

The Operation's AET facilities are situated at the Operation with a network of transport and support services to deliver South African Qualification Authority (SAQA) aligned education to students. All Harmony AET centres write external examinations offered by Independent Examinations Board (IEB) and benchmark.

Core Business Skills Training

The Core Business Skills programmes will include compulsory and development training as identified on the workplace skills plan. This is to ensure that the training programmes are aligned with the business needs, MQA requirements, safety requirements and the MPRDA. The process of identifying core business skills was done in conjunction with the relevant Head of Departments (HODs) to ensure alignment with the operational needs.

Error! Reference source not found. presents training skills and financial provision for core business skills and **Error! Reference source not found.** presents the corresponding implementation plan.

Table 9: Core Business Skills training targets and financial provision

CORE BUSINESS SKILLS	2023	2024	2025	2026	2027
Fall of Ground Comp A	30		0	0	0
Fall of Ground Comp B	50		0	0	0
FOG Comp C - Blasting Asst	40		0	0	0
Health and Safety Representative SP	30		0	0	0
Leadership Development (Includes: Team and Supervisory Leadership Development Programme (LDP), Emerging and Junior LDP, Middle and Senior LDP, Senior and Executive LDP)	15		0	0	0
Total Targets	165		0	0	0
Financial provision	R949 464	0	0	0	0
Total financial provision (2023-2027)	R1 946 402				

Table 10: Core Business Skills Training Implementation Plan for 2023 – 2027

ACCOUNTABLE PERSON / DEPARTMENT	ACTIONS AND PLAN	TIMEFRAME
HR Department	Conduct a skills gap analysis by determining the skills requirements of the different departments and determining the skills in the workforce. Align this with what training is required by the workforce.	Annually. Annual plans are reviewed quarterly.
HR Department	Identify and source appropriate learning providers.	As required.
HR Department	To track and monitor the progress of the implementation of internal training.	Ongoing, with quarterly reporting to Executive Committee (EXCO) and the SLP Department.
HR Department	Core skills training will be put in place for all employees that have been earmarked. Training will be implemented throughout the year and reviewed annually as part of the performance review cycle.	Annually.
In the Annual SLP report, report on the progress of the applicable programme		

Learnerships

A Learnership is a registered and accredited learning programme that includes practical work experience, as well as theoretical studies, thereby integrating both workplace and institutional learning. Through a learnership, people are able to work towards a qualification whilst employed. It provides both vertical and horizontal articulation within the qualifications framework and produces meaningful competencies for productive work. The structured learning part of the learnerships will include the unit- standard categories required to make up a qualification, i.e. fundamental learning, core learning and specialisation. Work experience must relate to structured learning and prepare learners for competence assessment.

The Operation's learnership targets and financial provisions are presented in Table 11 and Table 12. Table 13 sets out the associated implementation plan.

Table 11: Learnership targets and financial provision (18.1)

LEARNERSHIPS	2023	2024	2025	2026	2027
Learnership Engineering - 18.1	6	0	0	0	0
Total	6	0	0	0	0
Financial provision	R2 457 000	R0	R0	R0	R0
Total Financial provision (2023 – 2027)	R2 457 000				

NOTE: This is a planned intake per year and could be affected by operational requirements

Table 12: Learnership targets and financial provision (18.2)

LEARNERSHIP	2023	2024	2025	2026	2027
Learnership Engineering - 18.2	4	0	0	0	0
Total	4	0	0	0	0
Financial provision	R873 600	R0	R 0	R 0	R 0
Total Financial provision (2023 – 2027)	R873 600				

NOTE: This is a planned intake per year and could be affected by operational requirements

Harmony is committed to closing out all existing MQA Learnerships from the previous SLP. If any leadership numbers, from the previous SLP, are rolling over, the roll-over number will be absorbed over the new SLP 5 – year period (2023-2027). Table 13 outlines the implementation plan to meet the leadership targets for the next five years.

Table 13: Learnership Training Implementation Plan for 2023 – 2027

ACCOUNTABLE PERSON	ACTIONS AND PLAN	TIMEFRAME
HR Department	Identification of skills and learnership programmes needed: Finalise the learnership programme by identifying the skills requirements for each Harmony operation	Annually
HR Department	For the implementation of the learnership, the following steps will be followed: 1. Appointment of a suitable Learnership Service Provider(s) 2. Develop an advertising plan to attract the best candidates for the learnership programme and advertise and campaign accordingly 3. Link the Learnership programme to the Talent Pool Development programme. This will include a focus on HDPs, women and youth employees 4. Register and train new mining learners on learnerships as indicated per discipline 5. Provide on-the-job training once theoretical training is completed	As required
HR Department	Evaluate, monitor and report 1. Evaluate implementation against targets for the current year 2. Identify success and failure factors and lessons learnt from the current year 3. Where needed, the implementation plan will be revised for the following year	Ongoing
In the Annual SLP report, report on progress of the applicable programme		

Leadership development

The Operations' human resource development strategy will ensure that their employees develop to their maximum potential. There is a focus on leadership development in combination with other development initiatives such as executive, management and supervisory development. Employees will be developed in all core and critical, as well as leadership skill in order to equip them to perform their duties safely and productively.

Management and supervisory development

Managerial and supervisory training and development is generally based on the career development plans of the employees as identified through the talent pool and succession planning processes which also links into the EE imperatives and drivers of the Operation. This type of training is an essential part of ensuring that the company will run as productively and efficiently as possible now, and into the future with further emphasis on creating a skilled leadership base to sustain the organisation. There are several aspects of management that need to be addressed in order to ensure that managers will be able to do the best they can in their roles.

One of the most important aspects of effective management is how to engage employees to get the best outcomes from the team. Managers and supervisors need to know the best way to communicate with their subordinates, to involve them in work planning and execution, and to give appropriate feedback on performance. They must know how to properly assign tasks to employees so that team productivity can be maximised. Importantly, effective leaders need to understand how to lead change, optimising processes, creating systems, and generating enthusiastic commitment among subordinates for new ways of working.

All management and supervisory employees in Harmony are within the scope for the development programmes. It includes all the individuals in both operations and services. The Development Programme takes place in accordance with the development principles as stated in the Study Assistance Policy. These programmes are run in various institutions.

Development programmes have been established to ensure that supervisors, middle and senior management have the required skilled knowledge to secure maximum efficiency and performance in their roles, as well as to ensure they are provided with opportunities for development to their optimum potential.

The Harmony Leadership Competency Model was revised. Subsequent to the revision, the new LDP was designed to ensure alignment across all levels of leadership.

Portable skills training

The Portable Skills programme aims to equip employees with non-mining-related portable skills; to enable them to find other forms of livelihood in different sectors of the economy. Employees working at Harmony can mostly be considered to have mining-specific skills; therefore, portable skill training is aimed at allowing the workforce to find alternative employment or start businesses.

A financial commitment of R 4 000 per person has been made for portable skills training. The operation will endeavour to train, not less than 100 individuals, on portable skills over the 5 year period. A list of possible portable skills interventions that Harmony will make available can include, but is not limited to the following programmes:

- Bricklayer Course
- Plumbing
- Pipe Fitting Training
- Electrical installation
- Panel Beating Training
- Carpentry
- Events Management short course
- Photography
- Beautician (Comprehensive Expert Certificate)
- Financial Accounting (National Certificate: Bookkeeping)
- Entrepreneurship Programme (National Certificate: Small Business Financial Management)

Harmony will undertake the following portable skills implementation plan, containing key actions to achieve the targets. This implementation plan may be reviewed annually and updated with new implementation plans. It must be noted that the portable skills training programmes are made available to employees or their proxies. This is a voluntary programme and employees can decide to waive their opportunity to attend. (

Table 14).

Table 14: Portable Skills Training Implementation Plan for 2023 – 2027

ACCOUNTABLE PERSON	ACTIONS AND PLAN	TIMEFRAME
HR Department	Plan: 1. Identify appropriate economic sectors other than mining within the region 2. Identify portable skills training courses in line with the external economic context within the region 3. Develop a portable skills training plan that outlines suitable candidates, the course, service providers, and so for the facilitators, facilities, resources, timeframes and budget 4. Develop the training schedules 5. Compile an SLP compliance report of progress and achievements, and submit it to the Department of Mineral Resources and Energy (DMRE) 6. Evaluate implementation against targets for the current year 7. Identify critical success factors and lessons learnt from the current year	Annually
In the Annual SLP report, report on progress of the applicable programme		

Career progression

Harmony should commit to providing its workforce with the opportunity to grow in knowledge and skills. Inherent in this is the opportunity to progress in a career path that is aligned to the Harmony business needs and suits each employee's skill sets and personal goals. In addition, career progression and mentorship will be done to address positions of high turnover as well as hard to fill vacancies.

This section covers the career progression plan of Operation that is in line with the skills development plan and will show how opportunities are given to employees to progress through the employment levels. The career progression plan at an individual level, maps out career growth opportunities within specific career paths in both technical (specialist) and management roles in the mine. The process identifies career options for employees who are assisted to develop skills so that they are better prepared and suitably qualified to assume positions that match their individual career goals with the needs of the mine (organisational needs). Employees can navigate various career progression scenarios (or be assisted to do so) and quickly identify requirements of various positions.

Career management at the Operation links with other HRD activities such as mentorship and coaching, managing the talent pool, and EE. Table 15 presents the training programmes with career path progression and Table 16 sets out the associated 5-year implementation plan.

HARMONY GOLD

Table 15: Training Programmes within Career Progression Paths

TRAINING PROGRAMMES WITHIN CAREER PROGRESSION PATHS	2023	2024	2025	2026	2027
Stoping Team Initial Training	60	0	0	0	0
Development Team Initial Training	10	0	0	0	0
Rock Drill Operator Initial Training	25	0	0	0	0
Scraper W/Driver Initial Training	40	0	0	0	0
Miners Assistant Initial Training	10	0	0	0	0
Loader Driver Initial Training	1	0	0	0	0
Loco Driver - Battery Initial Training	4	0	0	0	0
Stoping Team Leader Initial Training	15	0	0	0	0
Tramming Team Leader Initial Training	1	0	0	0	0
Development Team Leader Initial Training	3	0	0	0	0
Total	169	0	0	0	0
Financial provision	R575 445	0	0	0	0
Total Financial provision (2023 – 2027)	R575 445				

NOTE: This is a planned intake per year and could be affected by operational requirements

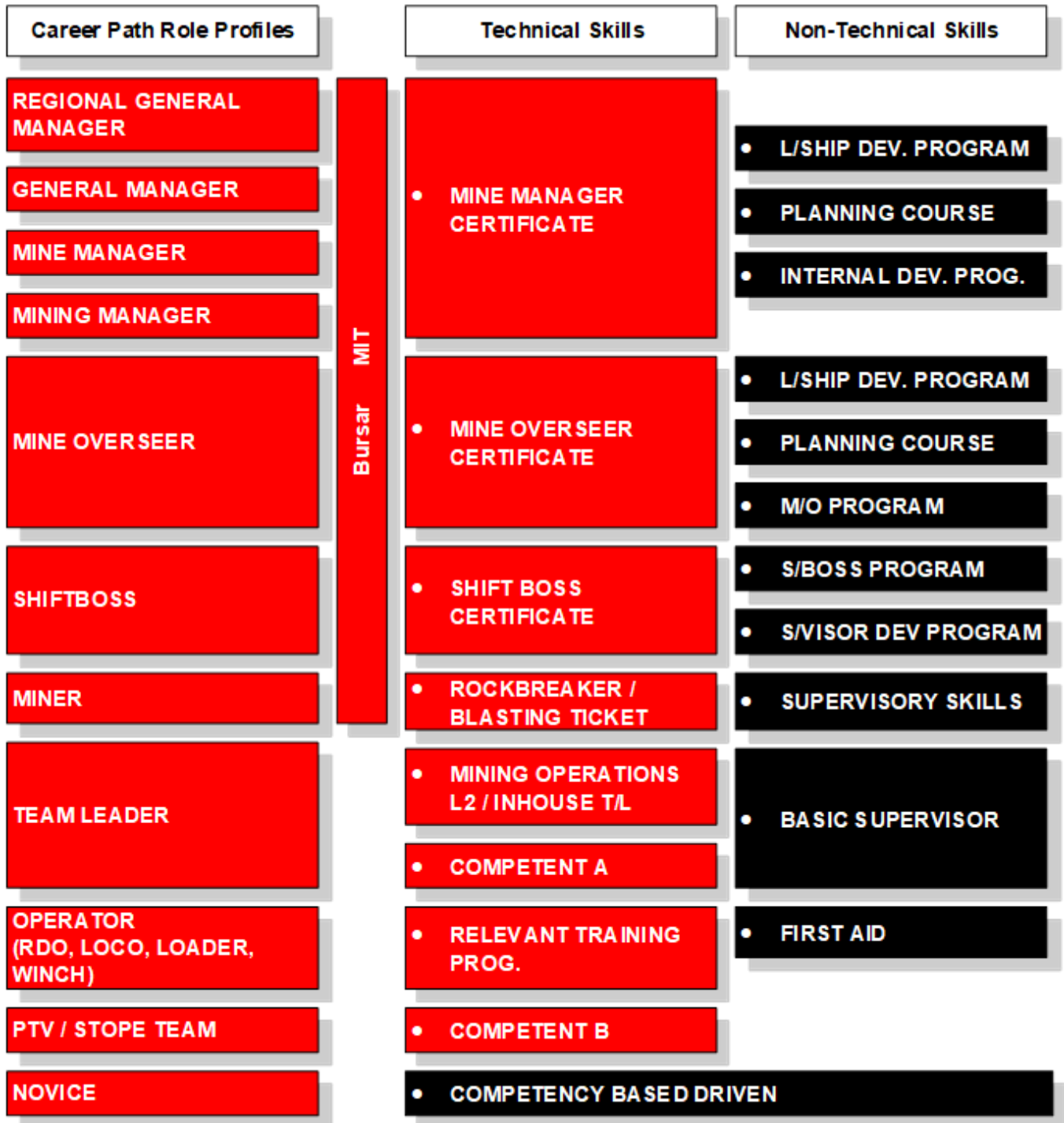
Table 16: Career Progression Implementation Plan for 2023 – 2027

ACCOUNTABLE PERSON	ACTIONS AND PLAN	TIMEFRAME
HR Department	Plan 1. Identify opportunities for all employees. Career progression is available to all employees based on their career interests, availability of positions, employment equity, potential assessments, and excellent performance 2. An employee may move from one discipline to another depending on personal career interests aligned to identified organisational needs 3. Career progression plans are managed and monitored during performance management discussions between an employee and their supervisor at management levels, with top performers usually considered for opportunities to advance to higher levels within the organisation 4. Each employee's career interests are considered, within reason, when career progression plans are discussed and agreed upon through IDPs 5. Career progression takes place based on positions that become vacant or available in the mine or at other Harmony operations, and employees are promoted and/or transferred to the positions for additional career exposure 6. Career progression plans take cognisance of each operation's requirements to meet the employment equity targets 7. To monitor career progression, the development panels will be used. These are multi-disciplinary panels that monitor the careers of employees to ensure that development opportunities are made available to suitably qualified, high potential and excellent performing employees	Annually
In the Annual SLP report, report on progress of the applicable programme		

Pipeline for career progression for each of the core career disciplines

The diagrams below show examples of career paths for each of the main career disciplines within Operation.

Career path – Mining



HARMONY GOLD

Career path – Engineering

Entry Requirements	Career Path Role Profiles	Skills Development
	Group Engineering Manager	
Government Ticket / Appointment	SENIOR ENGINEERING MANAGER Management	Specialised Management Courses
Government Ticket / Appointment	SENIOR ENGINEER Management	Specialised Management Courses
Government Ticket / Appointment	ENGINEER Management	Specialised Management Courses
Degree / Diploma / N6 with required subjects for GCC Exam	JUNIOR ENGINEER Official	Harmony Junior Engineers Development Programme
- Level 4 Engineering Artisan - N4 / N5 / Equivalent 5 Years Supervisory Experience	CHIEF ELECTRICIAN / CHIEF ENGINEERING SUPERVISOR Official	Harmony Certificate in Management Specialise Courses
- Relevant Trade - N3 Equivalent 5 Years Trade Specific Experience - Completed Eng Foreman Dev Programme	ENGINEERING FOREMAN Official	Harmony Foreman Development Programme
- Degree / Diploma in electrical Engineering or Instrumentation OR - Instrumentation Mechanician Trade and N6 and ECSA Registration as a Technician	INSTRUMENTATION TECHNICIAN Official	ECSA Requirements & Specialised Instrumentation Courses
- N2 Equivalent - Technical Grade 12 with relevant Subjects including Maths & Science	ENGINEERING ARTISAN Union Men & Artisans	One of the following Skills (L3 & L4) - Instrumentation or Measuring & Control - Electrical - Fitting - Plater / Welder - Diesel Mechanic - Rigging
- N1 / Grade 10 - Maths and Science - English Literate / Communication 1 Year Engineering Experience	SERVICE PERSON Union Men & Artisans	One of the following Skills - Electro Mechanics L2 - Horizontal Transport L2 - Stoping and Developing L2
Grade 10 (Maths, Science, English Literate and Communication)	ENGINEERING ASSISTANTS / OPERATORS Cat 4 - 8	Generic Engineering Skill i.e. Engineering Assistant Training plus Occupation Related Training (e.g. Belt Attendant Training course)
	NEW RECRUIT Grade 10 Maths & Science	

HARMONY GOLD

Career path – Ore Reserves (Survey)

Career Development			
Ticketed Surveyor			
Career Path Role Profiles	Qualification	Technical Skills	Non-Technical Skills
ORE RESERVE MANAGER	- NQF 8 - NHD SURVEY OR BTECH + GSCC OR - SURFACE SURV CERTIFICATE	- GRADE MANAGEMENT - FINANCE MANAGEMENT - RESERVES & RESOURCES - MANAGEMENT	- LEADERSHIP - PROFESSIONAL REGISTRATION - STRATEGIC PLANNING
SURVEY HOD (M+ 10 YEARS)	- SURVEY GOVERNMENT - CERTIFICATE OF COMPETENCY	- CARRY LEGALS - RELEVANT COMPUTER SOFTWARE	- LEADERSHIP - EMPLOYEE DEVELOPMENT
SECTION SURVEYOR (M+ 8 YEARS)	- NQF 6 - National Higher Diploma Mining Survey OR BTECH	MANAGE SECTION	FINANCIAL MANAGEMENT
MINE SURVEYOR / SENIOR SURFACE SURVEYOR (M+ 6 YEARS)	- NQF 6 - National Higher Diploma Mining Survey	- GYRO AND CHECK SURVEY - LATOUTS - HOLING NOTES	SUPERVISORY SKILLS
SHAFT / SURFACE SURVEYOR GRADUATE SURVEYOR	- NQF 5 - NATIONAL DIPLOMA SURVEY	- GYRO AND CHECK SURVEY - LATOUTS	- SUPERVISORY SKILLS - PRESENTATION & MEETING SKILLS - RELEVANT COMPUTER SOFTWARE
COMPETENCY BASED DRIVEN			HEALTH AND SAFETY
Non Ticket Surveyor			
Career Path Role Profiles	Qualification	Technical Skills	Non-Technical Skills
SECTION SURVEYOR (M+ 10 YEARS)	- NQF 8 - ADVANCED SURVEY - MRM AND OR GDE	MANAGE SECTION	- REGISTERED WITH PLATO - MANAGEMENT LEADERSHIP
MINE SURVEYOR / SENIOR SURFACE SURVEYOR (M+ 9 YEARS)	- NQF 6 - ADVANCED SURVEY OR - NHD SURVEY + MRM	- GYRO AND CHECK SURVEY - LATOUTS - HOLING NOTES	SUPERVISORY SKILLS
SHAFT / SURFACE SURVEYOR 48 MONTHS	- NQF 5 - ADVANCED SURVEY	- GYRO AND CHECK SURVEY - LATOUTS	- SUPERVISORY SKILLS - PRESENTATION & MEETING SKILLS
SENIOR SURVEYOR 36 MONTHS +12 MONTHS	- NQF 4 - ELEMENTARY SURVEY	- DEVELOPMENT + CHECK SURVEY	RELEVANT COMPUTER SOFTWARE
SURVEYOR 24 MONTHS	NQF 4	- STOPE SURVEY - INSTALL PEGS	REPORT WRITING
JUNIOR SURVEYOR 12 MONTHS	ELEMENTARY SURVEY +		
LEARNER SURVEYOR 6 MONTHS	- NQF 3 - BASIC SURVEY	- INSTALL PEGS + - MEASURING	SURVEY EQUIPMENT CARE
TRAINEE SURVEYOR	- NQF 1 ABET 4 OR - MATRIC (GRADE 12)	MATHS + SCIENCE	WORK IN TEAM
ENTRY BASED ASSISTANCE			
COMPETENCY BASED DRIVEN			HEALTH AND SAFETY

HARMONY GOLD

Career path – Ore Reserves (Geology)

Career Development			
Graduate Route			
Career Path Role Profiles	Qualification	Technical Skills	Non-Technical Skills
ORE RESERVE MANAGER	- NQF 8 - B SC HONOURS	- GRADE MANAGEMENT - FINANCE MANAGEMENT - RESERVES & RESOURCES MANAGEMENT	- LEADERSHIP - PROFESSIONAL REGISTRATION - STRATEGIC PLANNING
GEOLOGY HOD (M+10)	- NQF 8 - B Sc HONOURS - GRADUATE DIPLOMA IN - ENGINEERING (GDE)	- MANAGE A SECTION - GRADE CONTROL - MANAGE DRILLING PROJECTS - GEOLOGICAL MODELLING - APPLY COMPUTER SOFTWARE	- LEADERSHIP/ MENTORING - EMPLOYEE DEVELOPMENT - FINANCIAL MANAGEMENT
SECTION GEOLOGIST (M+8)			
SENIOR GEOLOGIST (M+6)	- NQF 8 - B SC HONOURS	- MANAGING DEVELOPMENT AND STOPING - INTERPRETE STRUCTURE - COMPILE LAYOUTS & PLANS - APPLY COMPUTER SOFTWARE	SUPERVISORY SKILLS
SHAFT GEOLOGIST GRADUATE TRAINEE	- NQF 8 - B SC GEOLOGY - NHD OR B TECH	- FACE MAPPING - STRUCTURE INTERPRETATION - APPLY DRILL AND SAMPLING TECHNIQUES	- SUPERVISORY SKILLS - MEETING SKILLS - PRESENTATION SKILLS - PROBLEM SOLVING
In House Route			
Career Path Role Profiles	Qualification	Technical Skills	Non-Technical Skills
SECTION GEOLOGIST 10 YEARS	- NQF 6 - GRADUATE DIPLOMA IN - ENGINEERING (GDE)	- GRADE CONTROL - MANAGE DRILLING PROJECTS - GEOLOGICAL MODELLING - APPLY COMPUTER SOFTWARE	- PROFESSIONAL REGISTRATION - LEADERSHIP/ MENTORING - MANAGEMENT SKILLS
SENIOR GEOLOGIST 9 YEARS	- NQF 6 - MINERAL RESOURCES - MANAGEMENT (MRM)	- FACE MAPPING - STRUCTURE INTERPRETATION - APPLY DRILLING AND SAMPLING TECHNIQUES	- SUPERVISORY SKILLS - PROJECT MANAGEMENT - COMPUTER LITERATE - SUPERVISORY SKILLS
SHAFT GEOLOGIST 48 MONTHS			
SENIOR GEOTECH 36 MONTHS	- NQF 5 - Advanced Geology		
GEOTECH 24 MONTHS	- NQF 4 - INTERMEDIATE GEOLOGY	- MAPPING/ STRUCTURAL - INTERPRETATION	REPORT WRITING SKILLS
JUNIOR GEOTECH 12 MONTHS			
LEARNER SAMPLER 6 MONTHS	- NQF 4 - Basic Geology - Basic Sampling	- MAPPING - SAMPLING TECHNIQUE	- COMMUNICATION SKILLS - BUSINESS WRITING SKILLS
TRAINEE SAMPLER ENTRY NO EXPERIENCE	- NQF 4 OR ABET 4 - MATRIC (GRADE 12)	SAMPLING TECHNIQUE	
	COMPETENCY BASED DRIVEN		HEALTH AND SAFETY

HARMONY GOLD

Career path – Metallurgy

Career Path Role Profiles	Qualification	Technical Skills	Non-Technical Skills	
Group Metallurgist	B Sc(Eng) Extraction Met B Eng/BSc(Eng)	4 Years Tertiary Education 10 Years Experience & broad exposure essential	- Leadership Development Programme - Management Development programme	
Plant Manager	BEng/BSC(Eng) B-Tech: Extraction Metallurgy	4 Years Tertiary Education 4-5 Years Experience,		
Senior Plant Metallurgist	BEng/BSC(Eng) B-Tech: Extraction Metallurgy	4 Years Tertiary Education 4 Years Experience,		
Metallurgist	BEng/BSC(Eng) Nat Diploma – Extraction Metallurgy	3 Years Tertiary Education 4 Years Experience	Relevant Supervisory Development programme	
Business Unit Leader	Manufacturing Supervisor NQF 5 once registered	5 Years Experience Business Unit Leader Workbook		
Shift Foreman / Section Foreman	Mineral Beneficiation Process Controller NQF 4 once registered	5 Years Experience Foreman Workbook		
Section Supervisor / Plant Operator	Plant Controller NQF 3 once registered	3 Years Experience Supervisor Workbook		
Met Operator / Section Operator	Mineral Processing Machine Operator NQF 2 once registered	<u>Complete relevant course and area workbook and 2 Years experience in the following areas:</u> ✓ Ore Reception ✓ Milling ✓ Crushing ✓ Thickening and Leach ✓ Adsorption ✓ Grading Room ✓ Chemical Handling ✓ Smelting ✓ Relining ✓ Backfilling		
Met Assistant / Met Specialist	Mineral Beneficiation Plant Worker NQF 1 once registered			
GENERAL WORKFORCE	SELECTION CRITERIA Min Edu level for selection = Grade 10 with English			

Talent pool

Objective of the talent pool

The objective of the Operation's talent pool, as has been defined for all Harmony mines, includes the following:

- People development;
- Succession management;
- Performance management;
- Career management; and
- EE – meeting EE targets.

Measures to develop the talent pool

The following measures are employed to develop the talent pool:

- Mentorship / Coaching
- EE targets (as per the EE Act)
- Group/mine career opportunities (promotions, transfers and acting opportunities)
- Opportunities in Harmony's growth projects
- Expatriate opportunities in Harmony's international operations – Papua New Guinea (PNG)

Targeted employees in the talent pool

All high potential and high performing employees within Operation are eligible to be part of the talent pool. However, the number of people in the talent only includes the top talent in the mine.

The following occupational levels are represented in the talent pool:

- Technically skilled/operators: skilled technical and academically qualified workers, junior management, supervisors, foremen – Patterson bands C1 to C5
- Professionals: professionally qualified, experienced specialists and mid management – Patterson bands D1 to D5
- Senior management – Patterson bands E1 to E5

The talent pool is identified based on the top-performing employees with the highest potential, especially in core disciplines.

Mentorship

Mentorship is a key process and tool in the support of people development, EE, HRD planning, and performance management. It is a formal relationship between a mentor and a mentee and is established to enhance the mentee's career by building skills and knowledge. This is a continuous process and ensures that the mentee's potential is unlocked, which benefits everyone, including the mine.

In order for Harmony to develop highly competent leaders and a healthy pipeline of HDP leaders and professionals, an internal mentorship and coaching programme was developed to encourage and support the developmental areas as identified previously in this SLP, i.e. Learnerships and Leadership development skills (Table 17).

Table 17: Mentorship Implementation Plan for 2023 – 2027

ACCOUNTABLE PERSON	ACTIONS AND PLAN	TIMEFRAME
HR Department	Identify mentors for mentees (employees in training/ Supervisors and Middle Managers with potential).	Annually
HR Department	Deliver mentor and mentee training when and where it is required to build capacity.	As required
In the Annual SLP report, report on progress of the applicable programme		

Bursaries

Harmony is committed to implementing a bursary programme for students at tertiary education institutions inclusive of the costs of enrolment, tuition, and accommodation. Recruitment of new bursars is done annually by advertising and communication primarily in local newspapers surrounding the relevant Harmony operation, as well as at local high schools. In the allocation of bursaries, preference is given to HDP's from the local communities.

The Operation's bursaries and internship targets and financial provision for communities are presented in Table 18 and Table 19 respectively, and Table 20 sets out the 5-year implementation plan.

Table 18: Bursaries targets and financial provision for communities

BURSARIES TARGETS	2023	2024	2025	2026	2027
Targets	3	0	0	0	0
Financial provision	R300 000	R0	R0	R0	R0
Total Financial provision (2023 – 2027)	R300 000				

NOTE: This is a planned intake per year and could be affected by operational requirements

Internships

Our MQA, internship and experiential training programme is part of Harmony's talent development programme. Graduates from different South African universities are recruited either directly or indirectly through the MQA grant system and placed on the internship programme over a period of time not longer than two years, to gain necessary practical work experience in various core mining related disciplines such as mining, engineering, geology, metallurgy and survey. Most of the graduates are HDPs and are drawn from the immediate local communities where Harmony operates. Once these learners have completed the internship programme, Harmony exercises the first option whether or not to offer the candidates permanent employment.

This programme does not only help to provide the individuals with practical work experience, but also to equip the candidates with business management and leadership skills to prepare them for future managerial related work.

Table 19: Internship training targets and financial provision

INTERNSHIP TARGETS	2023	2024	2025	2026	2027
Internship programme (Includes work experience and Internships)	3				
Financial provision	R296 574				
Total Financial provision (2023 – 2027)	R296 574				

NOTE: This is a planned intake per year and could be affected by operational requirements

Harmony is committed to closing out all existing internships from the previous SLP. If any internship numbers are rolling over, the roll-over number will be absorbed over the SLP 5 – year period (2023-2027). Table 20 outlines the implementation plan to meet the bursary and internship targets for the next five years.

Table 20: Bursaries and Internships Implementation Plan for 2023 – 2027

ACCOUNTABLE PERSON	ACTIONS AND PLAN	TIMEFRAME
HR Department	Advertise bursary and internship opportunities to the communities. Advertisements can be placed in local newspapers and on the local radio stations	Annually
HR Department	Determine the targets for internships and bursaries. The internship target will be informed based on the operation's business needed as well as the needs within the host communities.	When required
HR Department	Provide ongoing support, mentorship and coaching to the bursars and interns	When required
In the Annual SLP report, report on progress of the applicable programme		

Employment equity baseline (as per March 2022)

The Operation is committed to organisational transformation, along with the transformation of South African society. The mine strategically views transformation as a long-term opportunity for the sustainable growth of the company's business.

Table 21 shows the employment number for Board and Top Management, which is consistent for all of Harmony's operations. Table 22 is the permanent workforce number per operation and Table 23 indicates the workers who consist of core and critical skills as well as those who have disabilities. It should be noted that Table 23's total is absorbed within the total workforce number as indicated in Table 22. Table 24 indicates the workforce number for the core contractors.

HARMONY GOLD

Table 21: Employment Equity Baseline for Board and Top management (Form S)

OCCUPATIONAL LEVELS	EMPLOYMENT EQUITY BASELINE - KUSASALETHU MINE & PLANT										TOTAL
	MALE				FEMALE				FOREIGN NATIONAL		
	African	Coloured	Indian	White	African	Coloured	Indian	White	M	F	
Board	4	0	1	4	2	1	0	0	1	0	13
Top Management	5	0	0	6	3	0	1	1	1	0	17
Total	9	0	1	10	5	1	1	1	2	0	30

Table 22: Employment Equity Baseline for Senior, Middle, Junior, Semi-skilled and Unskilled (Form S)

OCCUPATIONAL LEVELS	EMPLOYMENT EQUITY BASELINE - KUSASALETHU MINE & PLANT										TOTAL
	MALE				FEMALE				FOREIGN NATIONAL		
	African	Coloured	Indian	White	African	Coloured	Indian	White	M	F	
Senior Management	2	0	0	4	1	0	0	0	1	0	8
Middle Management	15	1	1	13	4	0	0	2	1	0	37
Junior Management	277	2	0	103	89	1	0	6	41	1	520
Semi-skilled and discretionary decision making	836	2	0	3	91	0	0	2	219	5	1158
Unskilled and defined decision making	1385	3	1	5	302	0	0	0	312	52	2060
Total	2 515	8	2	128	487	1	0	10	574	58	3 783

HARMONY GOLD

Table 23: Employment Equity Baseline for Core Skills and People with Disabilities (Form S)

OCCUPATIONAL LEVELS	EMPLOYMENT EQUITY BASELINE - KUSASALETHU MINE & PLANT										TOTAL
	MALE				FEMALE				FOREIGN NATIONAL		
	African	Coloured	Indian	White	African	Coloured	Indian	White	M	F	
Core Skills	2420	8	2	125	370	0	0	2	560	48	3 535
People with Disabilities	0	0	0	0	0	0	0	0	0	0	0
Total	2 420	8	2	125	370	0	0	2	560	48	3 535

Table 24: Employment Equity Baseline for Non-permanent Employees (Outside Contractors) (Form S)

OCCUPATIONAL LEVELS	EMPLOYMENT EQUITY BASELINE - KUSASALETHU MINE & PLANT										TOTAL
	MALE				FEMALE				FOREIGN NATIONAL		
	African	Coloured	Indian	White	African	Coloured	Indian	White	M	F	
Non-permanent Employees (Outside Contractors)	435	0	0	47	44	0	0	1	27	0	554

Employment equity plans and targets (2023 – 2027)

In line with Harmony's transformation strategy, workforce diversification remains paramount to the company. Whilst the aim is to comply with applicable regulatory requirements, the long-term goal is to create a workforce that equitably represents the South African population. The operation is committed to organisational transformation, along with the transformation of South African society. Moreover, the operation strategically views transformation as a long-term opportunity for the sustainable growth of the company's business. Harmony believes that achieving EE is an integral part of building an effective and representative workforce to ensure equality among its employees. To this end, the EE Plans in this SLP have been prepared as per Section 20 (2) (a-h) of the Employment Equity Act 55 of 1998, the MPRDA and per Harmony's business principles and strategy on transformation.

The EE plans were prepared in consultation with all relevant stakeholders, including recognised Trade Unions operating within Harmony's operations. The purpose of the EE plans at Harmony is to advance transformation and broaden the diversity of the workforce whilst maintaining and improving our efficiencies and competitiveness in the gold mining industry. In advancing EE, the company promotes equal opportunity and fair treatment in employment through eliminating unfair discrimination and implementing affirmative action measures to redress the historic disadvantages in employment experienced by designated groups to ensure equitable representation in all occupational categories and levels in the workforce. The following Mining Charter 2018 definitions have been customised in line with the company's reporting in terms of the Employment Equity Act (Act 55 of 1998) and the Operation's Management structure:

- **Board** shall mean the company's Board of Directors in terms of its Articles of Association;
- **Executive Management** shall mean Top Management who are the Company's Executive Management Team within the South African Operations, which includes Discipline; Executives, Regional General Managers, Chief Operating Officer/s, Senior Executives, and Financial Director/s;
- **Senior Management** shall mean managers at the operation who are employed at Paterson Grade E- Band;
- **Middle Management** shall mean employees who are categorised as "Professionally Qualified" and are employed at Paterson Grade D-Band;
- **Junior Management** shall mean employees who are categorised as "Skilled technical and academically qualified workers, junior management, supervisors, foremen; superintendents"; and
- **Core and Critical Skills** are defined as all occupations stipulated in Form S, in particular the Mining, Engineering, Ore Reserve Management and Metallurgy disciplines.

It should be noted that the Board and Top Management structure operates across all areas of Harmony and that the highest management structure at the Operation is MANCOM (Management Committee), which comprises employees at Senior Management and Middle Management levels only. The 2018 BBSEE Charter of the South African Mining and Minerals Industry requirements with regards to EE is as stated below:

Workplace diversity and equitable representation at all levels are catalysts for social cohesion, transformation and competitiveness. To create a diverse workplace, as well as ensure participation of Historically Disadvantaged Persons in all decision-making positions, and core occupational categories in the mining industry, a mining right holder must achieve a minimum threshold of Historically Disadvantaged Persons that reflects the provincial or national demographics in the following manner:

- **Board:** At least 50% HDP, of which 20% must be women;
- **Executive Management:** At least 50% HDP, of which 20% must be women;
- **Senior Management:** At least 60% HDP, of which 25% must be women -.
- **Middle Management:** At least 60% HDP, of which 25% must be women
- **Junior Management:** At least 70% HDP, of which 30% must be women
- **Employees with Disability:** At least 1.5% of employees with disabilities; and
- **Core and Critical skills:** At least 60% of HDP must be represented in the mining rights holder's core and critical skills. Core and critical skills must include science, technology, engineering, and mathematical skills represented across all organisational levels. To achieve this, the mining right holder must Identify and implement its existing skills pool in line with the approved Social and Labour Plan.

Harmony is committed to the strategic objectives of the Employment Equity Act, which include having individuals from previously disadvantaged groups represented at all levels within the next five (5) years. Accordingly, Harmony's targets across all levels have been set per Mining Charter 2018 targets and are depicted in Table 25.

Table 25: Employment Equity targets as per Mining Charter 2018

X	MC 2018 TARGET	BASELINE	2023	2024	2025	2026	2027
Board							
HDPs	50%	50%	50%	55%	60%	60%	60%
HDP (F)	20%	20%	20%	20%	22%	24%	25%
Top Management (EXCO)							
HDPs	50%	55%	55%	55%	56%	56%	58%
HDP (F)	20%	25%	25%	25%	26%	26%	26%
Senior Management							
HDPs	50%	59%	59%	60%	60%	62%	63%
HDP (F)	25%	28%	28%	29%	29%	30%	30%
Middle Management							
HDPs	60%	57%	57%	58%	59%	60%	62%
HDP (F)	25%	27%	27%	28%	28%	29%	30%
Junior Management							
HDPs	70%	68%	68%	68%	70%	70%	72%
HDP (F)	30%	22%	22%	24%	26%	28%	30%
Employees With Disabilities							
HDPs	1.50%	0.8%	0.8%	1%	1.2%	1.3%	1.5%
Core And Critical Skills							
HDPs	60%	65%	65%	68%	70%	72%	75%

The Operation's response to the above targets for 2023-2027 are as set out hereunder:

- In developing the Operation's EE Plan for the period of five (5) years, considerations were made to the operation's workforce analysis, workforce projections, Life of Mine Plans, Business Planning and Objectives as well as the Operation's HRD plans. The operation also took into consideration its obligations under the EE Act No 55 of 1998 and the Broad-based Black Economic Empowerment Act and Codes of Good Practice in developing the Employment Equity targets
- Each operation will continue to strive towards ensuring that targets as prescribed in Mining Charter 2018
- Each level of management has a stipulated HDPs percentage requirement. Therefore Harmony will empower their employees to fill these quotas where possible. The following actions will underline this approach -
 - A priority is the selection, training and empowering of HDPs applicants at lower management levels from within the operation to progress, where possible, into the position that may arise. Career progression plans will inform this approach
 - The recruitment of HDPs candidates from outside the operation will take place as a second option. This will come into effect after Harmony has attempted to implement the above step, upskilling and recruiting in-house, without success.

Furthermore, Harmony will align its EE Plan to local recruitment and human resources development strategies for the current operations. The company will prioritise promoting and recruiting HDPs, females and people with disabilities. It is to be noted, however, that the operation still has challenges in achieving 1.5% of employees with disabilities as a percentage of its workforce due to the nature of the risks associated with the underground environment where most of the mining operations happen. The underground environment is highly regulated by Mine Health and Safety Act (Act 29 of 1996) (MHSA), which requires a fitness certificate to work underground. However, more effort is taken to identify positions which can be filled by people with disabilities. Harmony will contract a suitable recruitment agency to support the attraction, onboarding and ongoing support of disabled employees.

Further to the above strategies, Harmony will focus particularly on achieving the EE targets for the relevant groups, as further displayed in the implementation plan (Table 26) below.

Table 26: Employment Equity Implementation Plan for 2023 - 2027

ACCOUNTABLE PERSON	ACTIONS, PRINCIPLES AND PLANS	TIMEFRAME
HR Department	Use the EE report to accurately regulate the existing racial and gender combination at each operation and the use the findings of this report to inform any changes that may be needed in terms of employment around HDPs Harmony will provide a preference to HDPs for skilled and management positions in line with job requirements Harmony will draw on individual career development and to facilitate the development of HDPs into management positions Harmony will prioritise the communication of job opportunities within the operation Through the mentorship programmes, Harmony will link mentors and coaches to HDPs individuals in the talent pool who exhibit potential and are high flyers. These employees can be drawn up into management positions. Also, Harmony will prioritise selecting, training and empowering candidates at lower levels from within the organisation to progress within the organisation Harmony will ensure that women are targeted for learnerships, bursaries, internships, career progression and during the recruitment process The abovementioned implementation must be reflective of the demographics	Annually
In the Annual SLP report, report on the EE status and progress		



SECTION 3 OVERVIEW

According to the DMRE SLP Guidelines, the primary objective of MCD is to meaningfully contribute towards community development, both in terms of size and impact, in keeping with the principles of the social license to operate. This section includes relevant inputs pertaining to MCD in line with the DMRE SLP Guidelines.

IMPORTANT NOTE:

This Operation is coming to the end of its lifetime and plans to still operate has been put in place for another one (1) year. However, this might change and will be determined by factors including, but not limited to, gold prize, strength of the Rand, availability of reserves, etc.



SECTION 3: MINE COMMUNITY DEVELOPMENT

OVERVIEW

Section 3 of this SLP binds Harmony to the LED projects that will be implemented in the relevant communities for the period 2023 – 2027. Harmony is committed to delivering LED projects that are contextually relevant to the Company's Objectives and Vision (as presented in Section 1: Vision and Objective for the SLP). Furthermore, Harmony acknowledges its operations' external context, including each operation's regional and local socio-economic condition. For Harmony, a key priority is the upliftment of the communities from which the operation draws a significant percentage of its employees.

Moreover, a critical focus of the operation's LED aim is to address the socio-economic needs of its local and regional communities. Harmony acknowledges the importance of encouraging local and rural development and the social upliftment of mining-affected communities. Similarly, the company recognises that the business of gold mining has considerable economic, social and environmental impacts, which must be considered during the life of the operation. Of equal importance is the focus on empowering communities beyond the life of mine. Such a vision will ensure that communities are socio-economically independent of the mine. Focusing on mine closure has the potential to create livelihoods for communities that are people-centred, impactful and sustainable. Therefore, through the SLP, Harmony commits to projects that will assist in building community empowerment by focusing on poverty reduction and climate change resilience.

As per Regulation 46(c): Local economic development programme, the following is covered in this section:

- Regulation 46(c)(i): The social and economic background of the area in which the mine operates
- Regulation 46(c)(ii): Key economic activities of the area in which the mine operates
- Regulation 46(c)(ii): Impact of the mine in local and labour-sending communities
- Regulation 46(c)(iii): Infrastructure and poverty eradication projects in the local and labour-sending areas
- Regulation 46(c)(iv): Housing and living conditions
- Regulation 46(c)(v): Measures to address nutrition
- Regulation 46(c)(vi): Procurement progression plan and its implementation for HDP companies in terms of capital goods, services and consumables

SOCIAL AND ECONOMIC BACKGROUND INFORMATION (REGULATION 46 (C) (I))

The social baseline discussed below has been developed from secondary information at a provincial, district, municipal and ward level. The baseline information provides an overview of the relevant socio-economic indicators of the area of influence.

Kusasaletu Operations fall under the jurisdiction of Merafong Local Municipality (MLM). MLM is a local municipality in the West Rand District (WDM) of Gauteng. Its boundaries enclose some of the richest gold mines in the world. It is situated about 65 km from Johannesburg and is serviced by a number of major roads, including the N12 from Johannesburg to Cape Town and the N14.

In terms of spatial status, WDM is a Category C1 municipality which means that it is a municipality that has municipal executive and legislative authority in an area that includes more than one municipality. WDM comprises of three Local Municipalities (i.e.) Merafong City Local Municipality, Mogale City Local Municipality and Rand West City Local Municipality. Merafong City, is the largest of the three municipalities in the district, making up almost half of the landmass.

Merafong City Local Municipality is a Category B municipality with an Executive Mayor Governance system. The Executive Mayor is supported by 10 full-time Mayoral committee members who are responsible for heading their respective portfolios. The area size of the municipality is 1631, 7km² and it comprises twenty-eight (28) wards.

The following tables present the population (Table 27), gender (Table 28) and language (Table 29) groups of the people living in the Merafong City Local Municipality (MLM) in the West Rand District municipality (WRDM).

¹ Local Government: Municipal Structures Amendment Act, 2021



Population, gender and language groups

Population and Demographics

This section describes the general demographic and socio-economic characteristics of the population residing within WDM and MLM.

According to Statistics South Africa Community Survey (CS) 2016, the population of Merafong was 188 843, about one-quarter of the figure in West Rand: 838,594. In 2011, the population in MLM was estimated to be 197 520. These figures indicate that the population in Merafong is declining, this could be attributed to a declining mining economy².

Table 27 presents the population size of the WRDM and MLM in terms of race. Both the WRDM and MLM consist of a predominantly African population (78.7% for WRDM and 83.4% MLM). The remainder of the 21.3% in the WRDM and 16.6% in the MLM are made up of Coloured, Indian, and White groups. The WRDM has a total population of 838 594 people. It is important to note that population figures are not fixed and are expected to change will the in future change, depending on the natural population growth as well as migration patterns.

Table 27: Population

POPULATION GROUP	POPULATION SIZE	PERCENTAGE
WEST RAND DM		
Black African	660 179	78.7%
Coloured	21 152	2.5%
Indian or Asian	9 201	1.1%
White	148 062	17.7%
MERAFONG LM		
Black African	157 542	83.4%
Coloured	2 179	1.2%
Indian or Asian	655	0.3%
White	28 467	15.1%

Source: CS, 2016

Age and Gender

Age and gender are essential variables within the socio-economic context, as they provide an indication of the labour-sending capacity of an area. Table 28 presents the gender population size of the WRDM and the MLM. Both The WRDM and MLM have a higher percentage of males (51.8% and 53.6% respectively) compared to females (48.2% and 46.4% respectively). The gender make-up of these

² Portfolio Committee - Cooperative Governance and Traditional Affairs

municipalities is not consistent with that in the country, where the gender profiles are similarly skewed towards females (Table 28).

Table 28: Gender

GENDER	POPULATION SIZE	PERCENTAGE
WEST RAND DM		
Male	434 601	51.8%
Female	403 993	48.2%
MERAFONG LM		
Male	101 150	53.6%
Female	87 693	46.4%

Source: CS, 2016

South Africa also has a diverse range of languages spoken with 11 official languages recognised in the country. The language group's people ascribe to is to a certain degree indicative of their ethnical grouping. Table 29 below indicates that the principal spoken languages in the WRDM and MLM are Setswana (31.6% and 24.9%) and IsiXhosa (14.1% and 23.3%) respectively.

Table 29: Languages

FIRST LANGUAGE	POPULATION SIZE	PERCENTAGE
WEST RAND DM		
Afrikaans	139 233	16.6%
English	43 636	5.2%
IsiNdebele	4 133	0.5%
IsiXhosa	118 382	14.1%
Isizulu	76 601	9.1%
Other	11 013	1.3%
Sepedi	24 562	2.9%
Sesotho	86 331	10.3%
Setswana	265,100	31.6%
Siswati	6 475	0.8%
Tshivenda	10 850	1.3%
Xitsonga	38 806	4.6%
MERAFONG LM		
Afrikaans	26 963	14.3%
English	4 727	2.5%
IsiNdebele	256	0.1%
IsiXhosa	43 982	23.3%

FIRST LANGUAGE	POPULATION SIZE	PERCENTAGE
MERAFONG LM		
Isizulu	11 510	6.1%
Other	1 429	0.8%
Sepedi	3 095	1.6%
Sesotho	35 526	18.8%
Setswana	46 966	24.9%
Siswati	1 870	1%
Tshivenda	766	0.4%
Xitsonga	8 702	4.6%

Source: CS, 2016

Education levels

The level of education is used as an indicator of human capital and is measured by the percentage distribution of the adult population and the highest level of schooling they completed. South Africa's National Qualification Framework (NQF) consist of 10 levels divided into three bands; Levels 1 to 4 equate to high school grades 9 to 12 or vocational training, 5 to 7 are college diplomas and technical qualifications, 7 to 10 are university degrees.

The following section presents the education levels for the WRDM and Merafong City. Table 30 shows that approximately 0.8% of the population in the WRDM and 2.2% in the MLM has no formal schooling. About 5.4% have completed secondary school up to Grade 12 in the WRDM and 1.4% in the MLM. Only 0.2% of the people in the WRDM have a higher education level. The challenge for the for WRDM and MLM is to increase the percentage of people that enter higher education. The lack of formal education can usually be mitigated by acquiring skills. Skills programmes need to be identified and aligned to the scarce skills areas published for the local/district municipal area.

Table 30: Education levels

EDUCATIONAL LEVELS	WEST RAND DM		MERAUFONG LM	
	POPULATION SIZE	PERCENTAGE	POPULATION SIZE	PERCENTAGE
None	100	0.8%	61	2.2%
Other	0	0%	0	0%
Some primary	116	0.9%	46	1.7%
Primary	312	2.5%	62	2.2%
Some secondary	11 235	89.7%	2 551	91.6%
Grade 12 (Matric)	675	5.4%	38	1.4%
Undergrad	28	0.2%	0	0%
Post-grad	0	0%	0	0%
N/A	65	0.5%	27	1%

Source: CS, 2016

Main economic activities

The following section presents the employment sector (Table 31), employment status (Table 32), income levels (Table 33) and economic activities of the people living in the West Rand District Municipality and Merafong Local Municipality.

Table 31 indicates that the majority of the population in the WRDM (27.3%) and MLM (27.7%) is employed in the formal sector while only a few (WRDM – 3.7% and MLM- 2.8%) are in the informal sector. Highly skilled people accounted for the smallest share (16%), while 27% have lower level skills. Essentially, majority of the working people in the MCLM have basic education.

Table 31: Employment sector

EMPLOYMENT SECTOR	POPULATION SIZE	PERCENTAGE
WEST RAND DM		
Do not know	6 786	0.8%
In the formal sector	224 504	27.3%
In the informal sector	30 773	3.7%
Private household	35 979	4.4%
MERAUFONG LM		
Do not know	1 204	0.6%
In the formal sector	54 756	27.7%
In the informal sector	5 614	2.8%
Private household	5 870	3%

Source: CS, 2016

Economic activities

MLM's economy has a relatively low level of diversity with a strong reliance on mining. Mining has shown a declining trend in 2006, the mining sector remains the largest contributor to the municipality's GDP. Conversely, all the other sectors have been growing, with the greatest increases reported in the manufacturing sector and finance and business division (COGTA, 2019).

Table 32 indicates that both WRDM and MLM have high percentages of employed people (35% and 33.7%) compared to those that are not employed (12.8% and 12.6%). It further indicates that a high proportion of people are not economically active (21% for WRDM and 23.7% for MLM). For the past 11 years, the unemployment rate in the MCLM has been ranging between 17% and 20%, which is significantly lower than the national unemployment rate (which varied between 25% and 30%) (IDP, 2020 / 2021). The low unemployment rate observed in the MCLM is linked to job opportunities in mining-related activities and high out-migration rates in the municipality, which means that people looking for work, but those who are unable to find work in the MCLM tend to move out from the MCLM.

Table 32: Employment status

EMPLOYMENT STATUS	POPULATION SIZE	PERCENTAGE
WEST RAND DM		
Discouraged work-seeker	19 542	2.4%
Employed	293 335	35.7%
Other not economically active	172 199	21%
Unemployed	104 894	12.8%
MERAFONG LM		
Discouraged work-seeker	4 968	2.5%
Employed	66 635	33.7%
Other not economically active	46 789	23.7%
Unemployed	24 886	12.6%

Source: CS, 2016

Income levels

In order to determine the people's living standards as well as their ability to pay for basic services such as water, sanitation, and health care the income levels of the population are analysed and compared to the provincial average. Table 36 presents income levels in WRDM and MLM.

Table 33: Income levels

INCOME LEVEL	WEST RAND DM		MERA FONG LM	
	POPULATION SIZE	PERCENTAGE	POPULATION SIZE	PERCENTAGE
R0	19 402	6.6%	4 299	6.5%
Under R4800	10 362	3.5%	2 349	3.5%
R5k - R10k	18 120	6.2%	4 122	6.2%
R10k - R20k	42 100	14.4%	7 588	11.4%
R20k - R40k	55 870	19%	10 470	15.7%
R40k - R75k	60 559	20.6%	20 173	30.3%
R75k - R150k	36 402	12.4%	8 009	12%
R150k - R300k	24 308	8.3%	4 414	6.6%
R300k - R600k	8 641	2.9%	1 306	2%
R600k - R1.2M	2 480	0.8%	249	0.4%
R1.2M - R2.5M	810	0.3%	94	0.1%
Over R2.5M	604	0.2%	77	0.1%
Unspecified	13 676	4.7%	3 486	5.2%

Source: CS, 2016

Household income³ is widely distributed across income brackets in the WRDM and MLM. The majority of the population in both the WRDM (20.6%) and MLM (30.3%) have an income level between R40K-R75K. Moreover, data also indicate that 6.6% of the population in WRDM and 6.5% of the population in MLM, have no income annually.

Combining the first four income brackets in Table 33, it can be determined that 30.7% of households in WRDM and 27.6 % of households in MLM earn below R38,400 per annum (about R3,200 per month). This is considered to be a low annual income and is reflective of inexpensive, labour-intensive jobs, which do not require any formal education or training available in the area.

Dependency Ratio

The dependency ratio in Merafong has also grown as compared to the Census 2011. It is worth noting that this indicator has been growing since the 2001 official Census undertaken. The dependency rate in 2001 was 33%, in 2011 the dependency rate was estimated to be 37,9% and increased to 38,5% in 2016 (CS, 2016). The dependency rate is good indicator of the level of dependency on government to take care of its community (IDP, 2020 / 2021). Based on the increasing dependency ration, it can be

³ Household income is defined as all receipts by all members of a household, in cash and in kind, in exchange for employment, or in return for capital investment, or receipts obtained from other sources such as pension. Other sources of income are, for example social grants, Unemployment Insurance Fund, remittances, rentals, investments, sales or products, services, etc.

deduced that there is a need for local economic development programmes that promote skills development and sustainable livelihood strategies that will reduce dependency ratio.

Table 34 shows that 22.6% of the households in the WRDM and 17.2% in the MLM still lives in informal dwellings, whereas 60.9% in the WRDM and 64.5% in the MLM live in houses.

Table 34: Dwelling types

DWELLING TYPE	WEST RAND DM		MERA FONG LM	
	POPULATION SIZE	PERCENTAGE	POPULATION SIZE	PERCENTAGE
House	201 274	60.9%	51 495	64.5%
Shack	74 533	22.6%	13 759	17.2%
Flat in backyard	24 810	7.5%	7 242	9.1%
Apartment	12 503	3.8%	4 058	5.1%
Other	17 453	5.3%	3 282	4.1%

Source: CS, 2016

Regarding access to water, Table 35 above indicates that 65.5% of the WRDM population and 59.2% of the MLM population source their water from piped water inside their house, whilst 3.8% of the people in WRDM and 6.9% in the MLM and source their water on the community stand.

In terms of access to electricity, most of the households from WRDM (59.1%) and MLM (57.8%) use in-house prepaid meters. This is beneficial, as the significant advantage of prepaid electricity is that one can manage their own cash flow and use of electricity.

The majority of the people in the WRDM (88.4%) and the MLM (85.5%) have access to a flush toilet. Whilst 7.6% in the WRDM and 7.8% in the MLM use a pit toilet.

Table 35: Access to services

TYPES OF SERVICES	WEST RAND DM		MERA FONG LM	
MAIN SOURCE OF DRINKING WATER				
Piped water inside house	123 701	65.5%	496 565	59.2%
Piped water inside yard	42 385	22.4%	203 536	24.3%
Public/communal tap	9 264	4.9%	29 750	3.6%
Piped water on community stand	7 232	3.8%	57 916	6.9%
Other	6 260	3.3%	50 825	6.1%
ACCESS TO ELECTRICITY				
In-house prepaid meter	111 622	59.1%	484 586	57.8%
In-house conventional meter	43 032	22.8%	198 719	23.7%
No access to electricity	20 459	10.8%	114 521	13.7%
Other source (not paying for)	8 469	4.5%	23 455	2.8%

HARMONY GOLD

Other	5 260	2.8%	17 313	2.1%
ACCESS TO SANITATION				
Flush toilet	166 863	88.4%	716 630	85.5%
Pit toilet	14 365	7.6%	71 579	8.5%
Chemical toilet	2 866	1.5%	13 443	1.6%
Other	1 889	1%	4 193	0.5%

Source: CS, 2016

Access to health services

There are 45 clinics in WRDM; 18 are in Mogale City, 14 are in Rand West City and 13 are in Merafong City. There are 3 Community Health Care facilities 2 are in Rand West City and the other is in Merafong. There are 2 district hospitals 1 in Mogale City and the other in Merafong and there is one regional hospital in Mogale City. The balance is other facilities which include private healthcare facilities concentrated in Mogale City. These are complemented by 95 Ward Based teams (Municipal Profile, 2021).

Crime Statistics

Merafong City has the 2nd highest number of crime victims in the West Rand although it has the smallest population. 27% of crime victims in the district come from Merafong. The municipality houses 23% of the population in the district (IDP 2020 / 2021).

Vulnerable groups

Vulnerable groups are people who by virtue of gender, ethnicity, age, physical or mental disability, economic disadvantage, or social status may be more adversely affected by project impacts than others and who may be limited in their ability to claim or take advantage of project related benefits (International Finance Corporation (IFC), 2006). The most common groups identified as vulnerable are children, the elderly, child or female-headed households, the poor and the disabled. Other socio-economic aspects also make certain people and groups more vulnerable such as low levels of education and high levels of unemployment. The low average monthly income combined with the high dependency ratio and high unemployment rates is likely to mean high levels of poverty. Appropriate engagement measures should be considered to ensure the inclusion and participation of vulnerable groups in the development and implementation of the SLP.

KEY ECONOMIC ACTIVITIES (REGULATION 46 (C) (II))

West Rand District Municipality

The WRDM is situated west of the Gauteng Province and consists of three local municipalities. The WRDM comprises Mogale City Local Municipality, Merafong City Local Municipality and Rand West City Local Municipality and borders the North West province. The WRDM has a rich and diverse landscape, including Magaliesberg Mountains, the Cradle of the Humankind World Heritage Site and a number of towns that owe their development to gold mining. Merafong, Fochville and Carltonville are among the oldest towns in the district and are closely linked to mining activities. In addition to its urban residential and mining precincts, the WRDM is characterised by extensive farmland and agricultural holdings containing rural residential nodes.

The WRDM IDP sets a vision of integrating developmental district governance to achieve a better life for all. The municipality endeavours to advance the development of communities in the district by harnessing the socio-economic potential through a range of priorities.

Based on the recent WRDM Integrated Development Plan (IDP) (West Rand District Municipality, 2022/23 to 2026/27), the municipality has formulated 16 priorities which are aligned with the national and provincial strategies. Broadly, the priorities aim to reduce poverty and food insecurity, strengthen education, ensure service delivery, promote economic development and create sustainable and liveable environments:

- Priority 1 - End / Reduce Poverty and Ensure Zero Hunger Results
- Priority 2 - Good Health and Wellbeing / Healthy Communities Results
- Priority 3 - Quality Education Results
- Priority 4 - Gender Equality Results
- Priority 5 - Clean water and sanitation Result
- Priority 6- Affordable Clean Energy Results
- Priority 7 - Decent Work and Economic growth
- Priority 8 - Industry, innovation, and Infrastructure
- Priority 9 - Reduced Inequalities
- Priority 10 - Sustainable communities
- Priority 11 - Peace Justice and Strong institutions
- Priority 12 - Partnership for Goals
- Priority 13 - Be Tough on Crime
- Priority 14 - Safe Working environment
- Priority 15 - Accountable Municipal Administration
- Priority 16 - End Corruption in all forms

The WRDM priorities are informed by the key issues of local municipalities in the district and vertically linked with programmes and projects developed by these authorities to address challenges and enhance opportunities.

Appendix B provides an overview of issues and needs that will guide Harmony Gold in developing their fourth-generation LED projects fourth generation SLPs.

The process of identifying the new generation LED projects was two-fold. A review of secondary data sources underpins the first part. The principal documents that were reviewed include:

- West Rand District Municipality IDP 2022/23 to 20226/27; and
- General Household Survey, 2020.

Primary data was obtained during extensive broad-based engagements with stakeholders to supplement the secondary data. Appendix B provides an overview of the themes that were extracted from reviewing the secondary information.

Merafong City Local Municipality

The MCLM is situated southwest of the Gauteng Province and form a part of WRDM. The municipality encompasses significant mining activities and upstream and downstream businesses supporting the sector. The downsizing and closure of mines has contributed to increased unemployment, backlog in service delivery and investments in municipal infrastructure, with declining tax based. Land availability for industrial development and mining skillsets offer opportunities for local economic development.

The aim of the IDP for Merafong City is to present a coherent plan to achieve the municipality's vision, “a prosperous, sustainable and community-oriented city”. This IDP intends to link, integrate and co-ordinate development plans for MCLM which is aligned with national, provincial and district development plans and planning requirements binding on the municipality in terms of legislation.

Arising from a recent IDP analysis (MCLM, 2021/22- 2025/26), the municipality has formulated 14 regional outcomes aligned with the national and provincial strategies as well as the West Rand District Municipality. The outcomes for the MCLM are as followed:

- Outcome 1: Basic service delivery improvement
- Outcome 2 Accountable municipal administration
- Outcome 3 Skilled, capacitated, competent and motivated workforce
- Outcome 4 Ethical administration and good governance
- Outcome 5 Safe communities
- Outcome 6 Educated communities
- Outcome 7 Healthy communities
- Outcome 8 Sustainable environment
- Outcome 9 Build spatially integrated communities
- Outcome 10 Social cohesive communities
- Outcome 11 Reduced unemployment
- Outcome 12 Economic development
- Outcome 13 Robust financial administration
- Outcome 14 Institutional planning and transformation

These regional outcomes are informed by specific programmes and projects that are implemented to address challenges and enhance opportunities across the municipality. Appendix B provides an overview of issues and needs that will guide Harmony Gold in developing their fourth-generation LED projects fourth generation SLPs.

The process of identifying the new generation LED projects was two-fold. The first part is underpinned by a review of secondary data sources. The principal documents that were reviewed include:

- Merafong City IDP 2021/22- 2025/26
- General Household Survey, 2020

To supplement the secondary data, primary data was obtained during extensive broad-based engagements with stakeholders. Appendix B provides an overview of the themes extracted from reviewing the secondary information.

SOCIO-ECONOMIC IMPACT OF OPERATIONS - REGULATION 46 (C) (II) (B)

Harmony seeks to generate long-term shared value for our communities. We are committed to investing in the future of our communities beyond the life of our mines. This commitment is not just to empower people but also to reduce the socio-economic repercussions on communities that are often caused by mine closure. As a company we recognise that community dynamics and demands are constantly changing. Therefore, meaningful and lasting socio-economic development projects require more than a one-dimensional static implementation plan and strategy. As a result, we take a holistic approach to socio-economic development, focusing our efforts on establishing programmes and generating opportunities to uplift and empower local populations. Also, we aim to make a meaningful and lasting impact on the geographical areas where we conduct our business. In this regard, our socio-economic development programme commits to:

- Contribute to areas of development with the most significant socio-economic impact on our communities, such as infrastructure, education and skill development, job creation, and entrepreneurial growth
- Improve broad-based economic empowerment and enterprise development programmes at the local and community levels
- Our SLPs and corporate social responsibility programmes help to encourage socio-economic development in local communities
- Support the arts, culture, sports, and recreation

According to the Sustainable Development Goals, Harmony mainly focuses on poverty reduction, quality education and creating sustainable cities and communities. These priorities align with burning socio-economic issues in the South African landscape. Therefore, Harmony sees its role in the socio-development space as an agent of social change.

In South Africa, the dependability of social grants in provinces and communities indicates poverty levels and socio-economic disempowerment. The 2019 Housing and Living Conditions Survey reported that since 2002, the number of households and individuals receiving a social grant has grown considerably. While 31 % of individuals benefited from a grant in 2018, 44.3 % of households reported receiving one or more grants. Also, grants were the second most important source of income for households (45,2%) behind salaries (64,8%) and the primary source of income for nearly one-fifth (19,9%) of homes countrywide.

In this context, Harmony's function and impact on community development are critical. Harmony has 9 operations in South Africa and employs many permanent workers and core contractors. Consequently, employees and their families will benefit from salaries and labour advantages. Thus, socio-economic gains derived from employment should benefit communities in the medium to long-run.

Harmony plans for their future closure by designing and implementing mitigation measures to ensure that the negative impacts often associated with mine closure are more negligible to the host communities. Empowering the workforce and communities to be less reliant on active mine operations will allow people to identify alternative revenue streams outside Harmony's business and the mining

industry. As part of this procedure, specific skills training plans, for example, portable skills training, must be prepared to foster livelihood diversification strategies.

Likewise, limited livelihood strategies within mining communities show the dire need for more forceful attempts to address issues such as poverty reduction and mine closure. Any alternative livelihood approach should increase people's resilience while also serving as a tool for creating a meaningful existence. Alternative livelihood alternatives are best explored and addressed within a framework of sustainable livelihood. Sustainable livelihood frameworks recognise that the poor may desire more than money or finances. Other tangible or intangible assets such as education and internet availability may also be required. A people-centred approach to development that considers local interests, capacities, and strengths is required to build resilient communities.

LOCAL ECONOMIC DEVELOPMENT PROJECT

Against the backdrop of multiple socio-economic challenges facing the surrounding municipalities and their citizens, it is necessary to learn from past experience, build on community interests and leverage potential development partners. Drawing on experience from previous MCD Projects, Harmony proposes developing projects that build on existing local networks and commitments where possible. In addition to the SLP investment, an effort will be made to harness the company's available natural resources such as land and water. This will aid in strengthening sustainability beyond the 5-year SLP.

In developing the fourth generations MCD/LED Projects, Harmony adopted an phased approach (Figure 5). South African legislation was the start of the process of preparing this SLP. Research, literature reviews and mining sector benchmarking were used to develop an MCD/LED Project framework based on a broad range of success criteria. Three broad development clusters were identified namely, infrastructure improvement; agriculture and livelihoods; and business enterprise. Skills development will be fundamental in all MCD initiatives to ensure ongoing planning and implementation for future growth and success.

Sampling methodology was designed to identify the proximate communities surrounding the operation that needed to be consulted. Consultation was guided by the Mining Charter (2018) and included the following stakeholders:

- External consultation with potential partners;
- Meetings with relevant municipalities;
- Discussions with community engagement structures (CES); and
- Broad-based engagements e.g. communities' representatives, business owners NGOs/NPOs, religious bodies, recreational centres and schools.

Based on feedback from stakeholders, data was captured and analysed to determine needs, challenges and opportunities of the mine host communities. This information was grouped according to the three clusters and potential projects identified.

The project identification process was informed by several project selection criteria including geographical distribution, recurring needs, existing ownerships, potential partners, life of mine and

potential to be self-sustaining. When designing the selected MCD/ LED projects, the Operations financial commitment was considered.

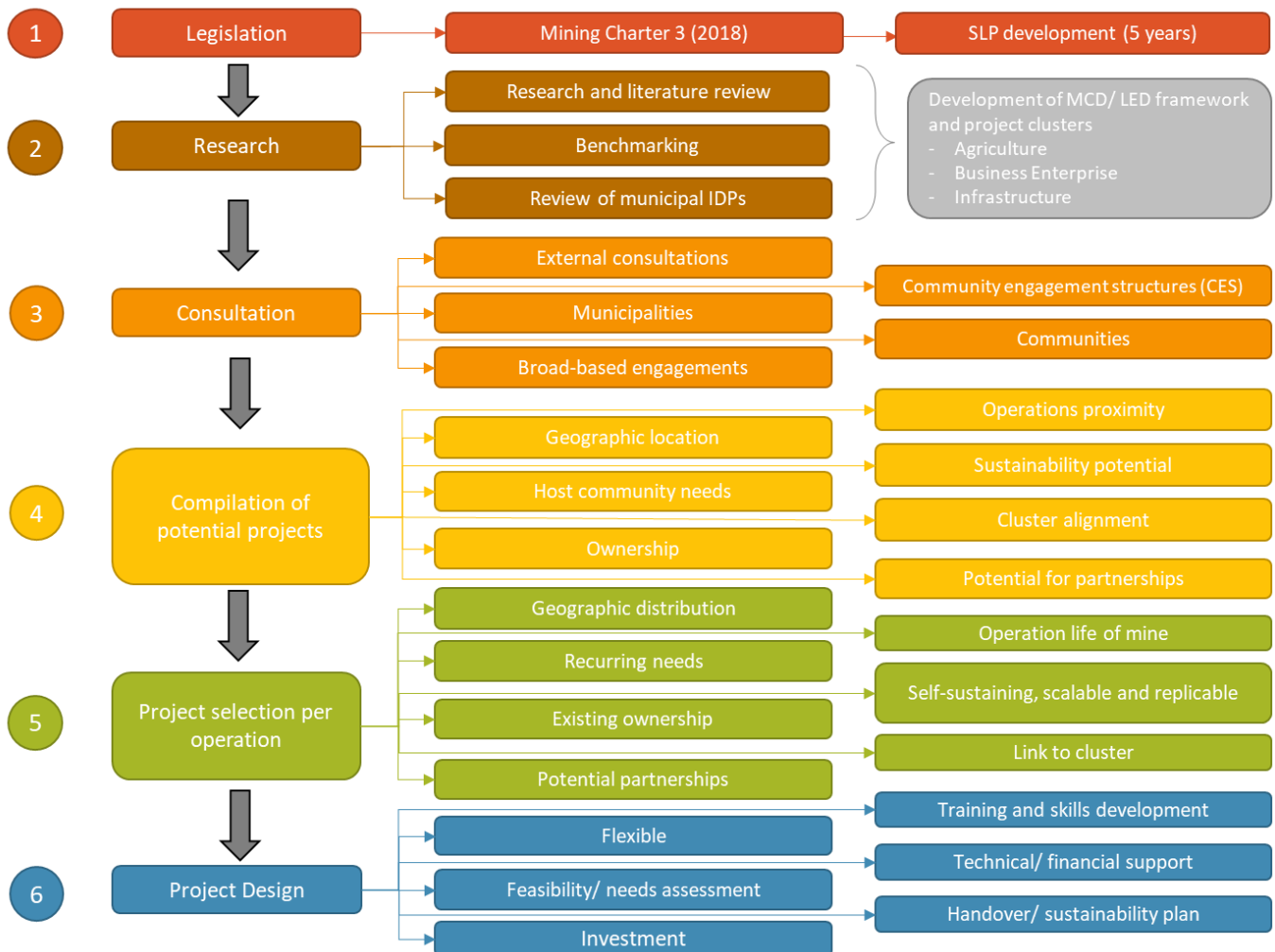


Figure 5: MCD/ LED Project selection methodology

The projects which the operation will investigate and implement in the fourth generation SLP are detailed in the below tables and are as follows:

- Project 1: Oberholzer Waste Water Treatment Plant
- Provision for Roll over and Backlog projects
 - *A provision of R8m will be made for year 2, to cater for roll over and continuation of implemented projects, should the Operation be able to extend the current life of mine for another year.*

When designing the selected projects, Harmony adopted a structure approach that takes account of community needs and context. It is envisaged that the selected projects will comprise of the following elements:

- Social needs assessment and feasibility study;
- Training and skills development;
- Technical and financial support;
- Financial commitment; and
- Handover and sustainability plan.

In accordance with the Mining Charter (2018), an annual SLP report will be compiled by the mine outlining the progress on the MCD/ LED projects. In addition to this, on an annual basis, delegates from the Operation, Department of Mineral Resources and Energy and the Municipality will meet and recommend continuation of the project into the following year. If a decision is taken to discontinue with a project, agreement will be reached on a suggested new project, and included in a memorandum of understanding.

It is important to note that although SLP commitments are made and reported on a calendar year, MCD will report on the company's financial year starting in July of each year and ending in June of the following year.

PROJECT 1: OBERHOLZER WASTE WATER TREATMENT PLANT

Geographical location of the project	District municipality	Local municipality
	West Rand District Municipality	Merafong City Local Municipality
Project Background:	The Municipality has been unable to maintain and operate its Wastewater Treatment Works (WWTW) resulting in raw sewage being discharged into local streams and rivers. Untreated wastewater (meant to be treated) bypasses the dysfunctional municipal plant and is one of the most significant pollution sources responsible for contamination of major rivers such the Wonderfonteinpruit, the Mooi River and ultimately the Vaal River. These rivers are primary resources of natural water used for drinking water, agriculture, informal settlements and downstream communities. The inability to maintain sewage plants has led to a gradual deterioration of water quality in the rivers. The Municipality itself has been under severe pressure from affected stakeholders who have been impacted by the deteriorating water quality. Refurbishment of the plant will improve the quality of water, benefiting downstream farmers and formal / informal communities. This project ultimately makes a significant contribution to several of the Sustainable Development Goals (SDGs) of the United Nations' 2030 Agenda for Sustainable Development. These include direct achievement of some of the targets associated with SDG 6, Clean water and sanitation and SDG 17, Partnerships for the Goals, as well as indirect contributions to several other SDGs as the ecology and water quality in the rivers and streams is expected to improve, with consequential downstream improvements to end uses, both for direct use and food production. Broad-based community engagements and consultations with community structures undertaken as part of the SLP development process focused on the need to ensure regular provision of municipal services. The Merafong Municipality has highlighted the dire financial situation they find themselves in, resulting in their inability to maintain and thus keep their key infrastructure operational and serving the needs of the people. <u>Scope of activities for Oberholzer WWTP</u> Professional Services and P&Gs • Inception • Concept and Viability • Design Development Refurbishment Works • P&Gs • Incoming power supply • Inlet Works	

HARMONY GOLD

PROJECT 1: OBERHOLZER WASTE WATER TREATMENT PLANT

	• Pumps • Trickling Filters • Humus Tanks • Site Lighting and Security Upgrade • PSTs • Digesters and Drying beds • Chlorination • Civil Repairs				
Project Objectives:	• To assist the Merafong Municipality to ensure that the Waste Water Treatment plant is functioning optimally and that raw sewage is no longer discharged into the Wonderfonteinspruit • To operate and run the plant for an approximate period of not more than 24 months • To contribute to the provision of habitable and sustainable human settlements where people exist in environments where there is cleaner water and the possibility of disease is reduced • To transfer operational and plant management skills to municipality personnel so that they can run the plant after the Harmony withdraws its support				
Project Components	The project will comprise the following components: • Feasibility study • Agreement with the municipality • Formal MOU • Establish formal project Steering Committee				
Total Financial Contribution	Budget year 1	Budget year 2	Budget year 3	Budget year 4	Budget year 5
R12 406 000	R6 406 000	R6 000 000			
Project Start Date:	Year 1 (2023)				
Provisional Project End Date:	Year 2 (2024)				
Exit Strategy	Harmony will operate and run the plant for approximately two years after completion and hand it over to the municipality having ensured that the municipal staff at the plant are fully competent to sustain operations.				
Target Group/ Beneficiaries:	The community of Merafong	Beneficiaries	• Merafong City Local Municipality including residents and businesses		
		Number of Jobs Created	• Estimated number of jobs is 10, this includes 5 interns that will be retained on the project. • Local SMME contractor/s will recruit and employ locally		

PROCUREMENT AND SUPPLIER DEVELOPMENT PLAN

Procurement Progression Plan: Introduction

Harmony believes procurement is pivotal in transforming the South African economic landscape. This element of the SLP engages all of Harmony's supply chain tools and competence to sustainably create business opportunities to fuel the broader national development engine during and beyond the required five-year period. As a company, we believe in starting as close to operation as possible to sustain our mining communities.

This procurement and supplier plan highlights Harmony's commitment to increasing the money spent on procuring goods and services from Black Economic Empowerment (BEE) entities in our local communities, where possible and financially viable, over five years. Also, the sustainability of SMME businesses entails more than just creating purchase opportunities. Likewise, it incorporates related elements of enterprise development in initiatives and community engagements on matters about local procurement.

Harmony has developed a preferential procurement plan to ensure it delivers beyond the SLP commitments. The Preferential Procurement plan is incorporated in Harmony's Procurement Policy, and Procedure and fully aligns with Harmony's preferential procurement strategic pillar to ensure sustainable mining communities whilst adhering to the Mining Charter 2018 targets. The following section provides an overview of the current status of the procurement targets as per the Mining Charter 2018 targets.

Current status of Harmony Mines against revised Mining Charter 2018 targets

Harmony is using the following questions to measure and guide its commitment to the Mining Charter 2018 targets:

Has the company given HDPs preferred supplier status?

Harmony has given HDPs preferred supplier status, as is evident in the following activities that were initiated specifically for this purpose:

- Harmony has allocated a resource dedicated to the management and maintenance of suppliers' BEE status and certification
- Harmony has adopted a custom-made preferential payment term that ensures HDP-owned SMMEs are paid on a fourteen-day payment term to ensure their financial sustainability and cash flow
- Harmony has decided to shorten most contract duration to increase the frequency of its tenders and allow more new entrants to partake in them. Harmony does not support "evergreen" contracts
- Harmony decided to advertise tenders on the Harmony website and Harmony procurement portal. This is done to allow BEE-compliant suppliers to access Harmony's procurement opportunities on an open and equal tender basis
- Targets have been set for minimum procurement spend on BEE-compliant suppliers for each of Harmony's operations in line with the current Mining Charter 2018 targets

- Harmony liaises with HDP enterprises through Harmony's Supplier Days initiative to identify issues and problems that small suppliers experience in dealing with Harmony and collectively find solutions for eliminating obstacles

Has the company identified the current level of procurement from HDP companies in terms of capital goods, consumables and services?

- Harmony's procurement department will continuously be measured on BEE procurement spent performance and is being managed and monitored to the same extent as Harmony's other financial indicators. Currently the spent is being reported to the Harmony Board in the form of a dedicated Social and Ethics committee that monitors BEE procurement performance every quarter
- The BEE spend is analysed in terms of goods and services expenditure and the report is supported by graphs that indicate the following two aspects:
 1. BEE spend per mining right as a percentage of total discretionary spend; and
 2. BEE procurement spend per province

Has the company indicated a commitment to a progression of procurement from HDP companies over a three- to five-year timeframe in terms of capital goods, consumables and services. Also to what extent has the commitment been implemented?

- According to the Mining Charter 2018 scorecard, Harmony has firm targets for BEE-entity spent. Targets are set for Goods and Service expenditure. And performance against these targets are measured and reported quarterly.
- Baseline procurement spend on Capital Goods, Consumables and services (as per Mining Charter 2018) are contained in Form T (Summary) in Table 36.

HARMONY GOLD

Table 36: Form T (Summary) Procurement BEE spend FY21/22

	OVERALL TOTAL SPEND	TOTAL SPEND 2021/2	TOTAL DISCRETIONARY EXPENDITURE	ANNUAL HDP/BEE SPEND	PERCENTAGE HDP/BEE SPEND OF TOTAL
Capital goods		R490 441 511		R236 277	38%
Services		R448 549 337		R37 856 910	35%
Overall total spend	R955 921 514				R938 990 848

As per the Mining Charter 2018 requirements, Harmony Group commits to the procurement and supplier targets below in Table 37. The procurement and supplier targets for the Kusasaletu operation are depicted in Table 38 in line with Mining Charter 2018 requirements.

Table 37: Procurement targets for Group (2023 – 2027)

	MINING CHARTER 2018 TARGETS	YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5
MINING GOODS						
70%	21% HDP-owned and controlled company	21%	21%	21%	21%	21%
	5% Women-owned and controlled company or youth-owned and controlled company	5%	5%	5%	5%	5%
	44% BEE-compliant company	44%	44%	44%	44%	44%
MINING SERVICES						
80%	50% HDP-owned and controlled company	50%	50%	50%	50%	50%
	15% Women-owned and controlled company	15%	15%	15%	15%	15%
	5% Youth-owned and controlled company	5%	5%	5%	5%	5%
	10% BEE compliant company	10%	10%	10%	10%	10%

Table 38: Procurement targets for Kusasaletu operation (2023 – 2027)

	MINING CHARTER 2018 TARGETS	YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5
MINING GOODS						
70%	21% HDP-owned and controlled company	21%	21%	21%	21%	21%
	5% Women-owned and controlled company or youth-owned and controlled company	5%	5%	5%	5%	5%
	44% BEE-compliant company	44%	44%	44%	44%	44%
MINING SERVICES						
80%	50% HDP-owned and controlled company	50%	50%	50%	50%	50%
	15% Women-owned and controlled company	15%	15%	15%	15%	15%
	5% Youth-owned and controlled company	5%	5%	5%	5%	5%
	10% BEE compliant company	10%	10%	10%	10%	10%

MENTORING OF EMPOWERMENT GROUPS (ED AND SMME SUPPORT)

Harmony takes its Enterprise and Supplier Development (ESD) obligation seriously. The Development will collaborate closely with Supply Chain to ensure increased local HDP and BEE spend throughout Harmony's South African operations. ESD continues to have input into the internal strategic committees (i.e. Bids Specifications Committee, Bids Evaluations Committee, Procurement Awards Committee, Harmony Tender Committee and the Vendor Committee). The ESD ensures that the transformation agenda is understood in all those committees when decisions are taken.

ESD within Harmony is responsible for identifying, developing and mentoring the small and medium enterprises located within Harmony's mine host communities. This is done through the regional enterprise and supplier development programmes. The role includes influencing procurement transformation targets and commodity strategies, further supporting transformation projects across the Group.

ESD Framework

The Board approved the ESD Framework in 2019. The framework focuses on two areas, Enterprise and Supplier Development and is outlined as follows:

1. Enterprise development focuses on potential suppliers mainly but not exclusively drawn from local communities where Harmony operates; and
2. Supplier development focuses on affording procurement opportunities to enterprises graduating from incubation specifically and other qualifying designated SMEs.

Figure 6 below outlines Harmony's ESD Framework.

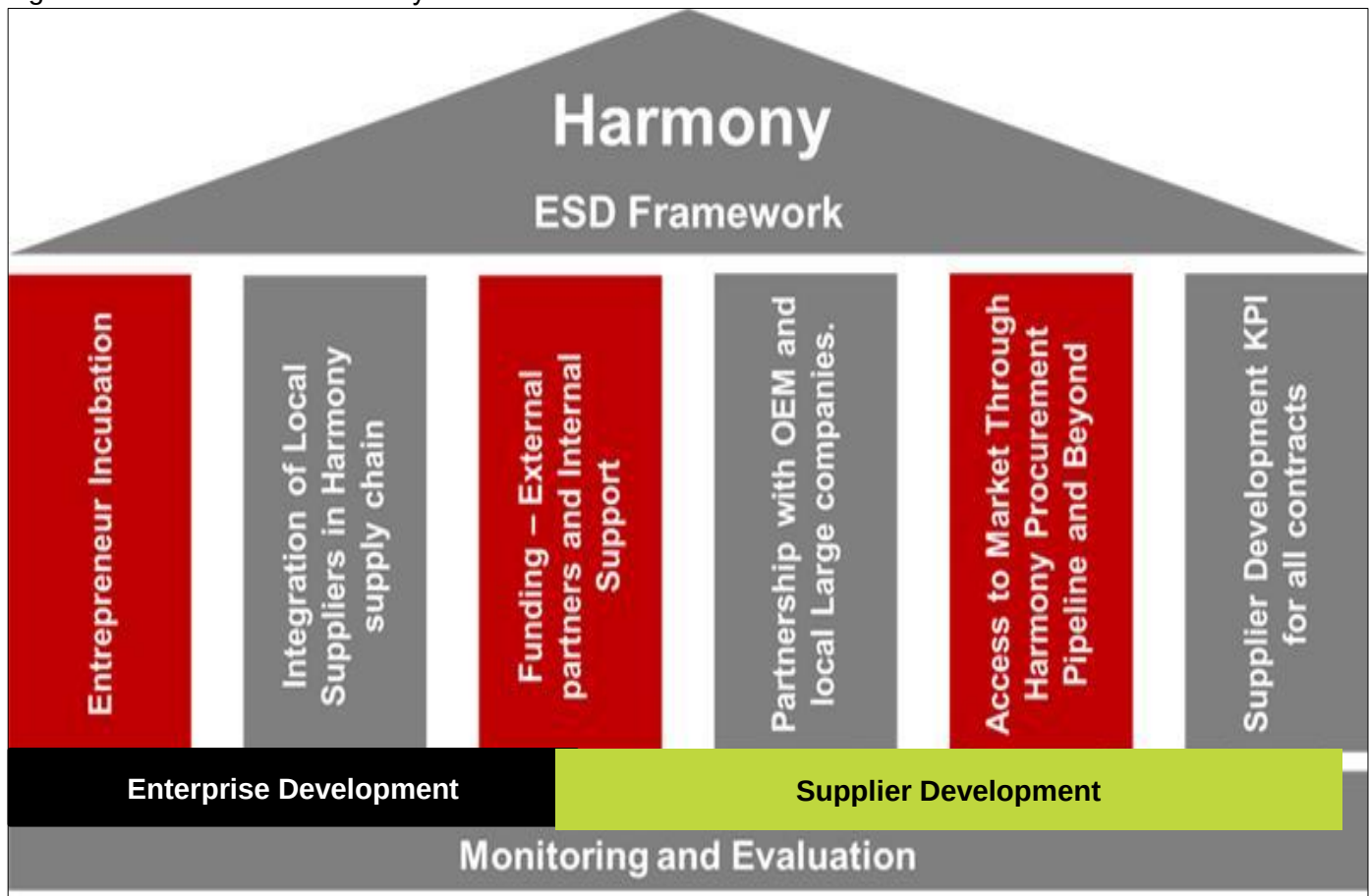


Figure 6: Harmony Enterprise and Supplier Development Framework

The main pillars of the ESD Framework shown in the figure above include the following:

1. Entrepreneur incubation

Systemic programme to support and nurture SMMEs leading to full participation as Harmony suppliers. It is also used as a lever to promote local community development and upliftment through:

- The delivery of various training and workshop programmes;
- The provision of a mentorship programme addresses business gaps relating to systems and processes; and
- Provision of commercial leases at marginal rental rates.

2. The ESD process integrates local prospective enterprises in the Harmony supply chain

3. Funding

Harmony Leano Fund facilitates the financing of emerging local businesses to enable growth and sustainability. The main objective is to fund businesses promoting job creation, poverty alleviation and community empowerment. Furthermore, ESD extends the funding net more expansive than the current Harmony funding instruments to assist SMME development and support and leverage on government and private sector funding institutions.

4. Partnership with Original Equipment Manufacturers (OEMs)

Proactively identifying OEMs that have programmes to assist with developing BEE companies, focusing on local community empowerment and upliftment.

5. Access to market

Expand BEE supplier's market access beyond Harmony using existing channels.

6. Supplier Development Key Performance Indicators (KPIs) / Programme

The following are the key objectives of the Supplier Development Programme:

- a. **Economic Transformation:** to increase higher levels of procurement participation from black-owned and designated groups, including black woman ownership and youth-owned vendors/suppliers; through opening up the supply chain to the local Black-owned businesses (entrepreneurs) to diversify the suppliers of specific commodities;
- b. **Entrepreneurial/Business Development:** through various mechanisms to ensure they are sustainable;
- c. **To enhance the operational efficiency of the supplier through:**
 - i. Improved quality of products
 - ii. Assist local suppliers in expanding production capacity (existing and potential)
 - iii. Assist suppliers in reducing input costs
 - iv. Increase the scope of the contract; and
- d. **Establish and build long-term, effective supplier partnerships.**

Figure 7 outlines the five steps of a supplier development programme. The steps are Planning; Implementation; Measurement; Improvement; and Recognition and Award and are discussed in the figure below.

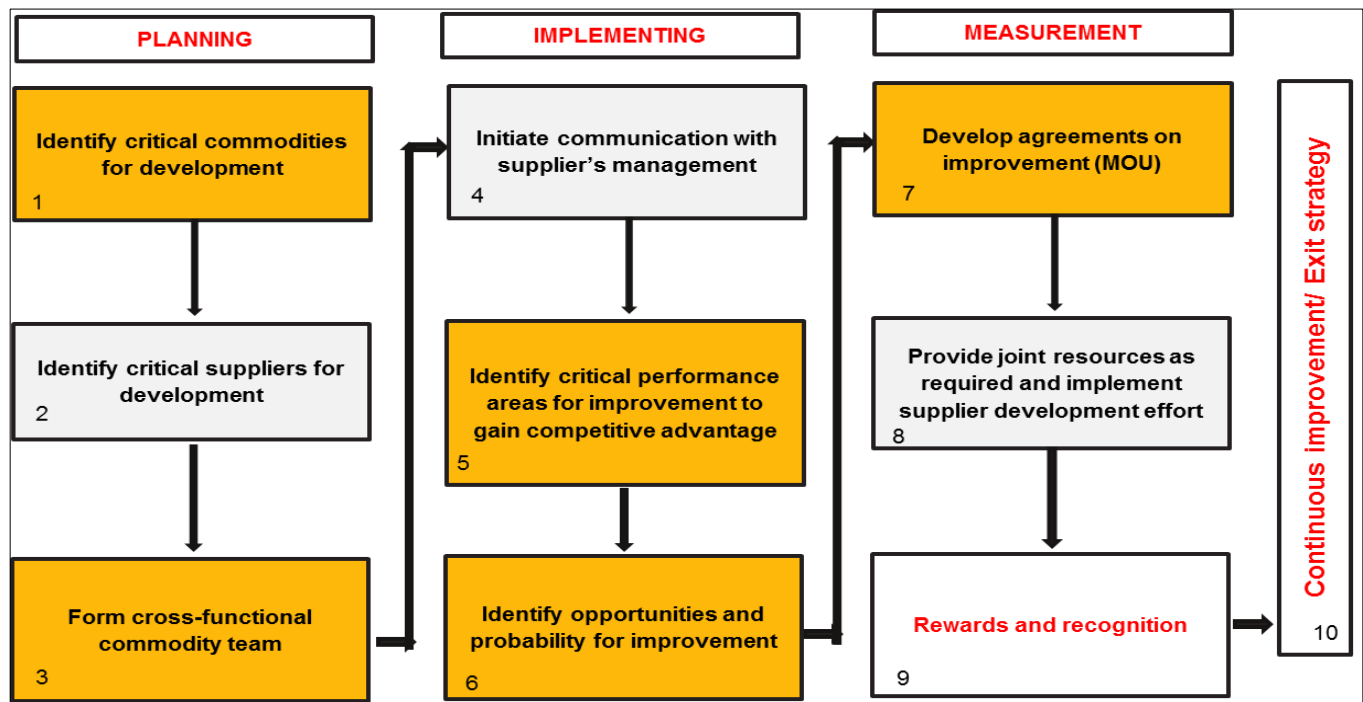


Figure 7: Steps of the supplier development programme

Business Development Centres (BDCs)

Harmony wants to be acknowledged as a socially responsible organisation that cares for the communities where it operates. The BDCs aim to make Harmony more accessible for local black-owned companies. The BDCs contribute to developing a sustainable supplier base to Harmony, through capacity building of emerging local SMMEs with a focus on youth and women-owned businesses. It is through the BDCs that the ESD framework is delivered, as per Figure 6.

The BDCs are one-stop business facilities that provide a friendly environment through which the local existing and emerging small entrepreneurs can access information about procurement opportunities in Harmony. As information hubs, the BDCs assist local SMMEs and guide them through multiple services offered. Services provided are as follows:

- Keeping a database of local HDP skills;
- Conducts the ESD Gap Analysis;
- Conducts the pre-technical assessments;
- Matching opportunities with available skills;
- Alert suppliers and extend invitations to site briefings;
- Guide with tender and vendor application processes;
- Business incubation programmes;
- Facilitate the management of Harmony commercial properties (workshops, canteens etc.);
- Facilitate funding applications through the Harmony Leano;
- Facilitate partnerships with existing suppliers, where opportunities arise, in collaboration with supply chain;
- Support with office facilities such as internet, printing, boardrooms, meeting rooms; and

- Provide mentorship and training.

Location of the Business Development Centres (BDC)

Harmony has opened three BDCs in our operating regions to support the ESD Framework. The Business development centres are positioned to be close to Harmony's main activity areas and situated central to the geographical area it serves. The centres are easily accessible to the public and are located in the following areas:

- Welkom Arm1 business centre
- Masilonyane satellite office
- Soweto (Region D, Municipal Building)
- Matlosana business centre
- Moqhaka Local Municipality (Fezile Dabi District municipality with five wards in Rammulutsi Area). The community is assisted through the Matlosana business centre
- Kalgold satellite office
- The Merafong community is assisted through the Khutsong business centre in partnership with the local municipality
- Maponya 911 that was supported through the preferential procurement strategy to provide emergency underground services to the Doornkop operation.

Stakeholders

Harmony establishes the BDC, whereas strategic partners are sought for collaboration. Below is an ecosystem of developmental institutions as stakeholders and not limited to such:

- Local municipalities and local communities
- DMRE;
- Department of Small Business development;
- Implementing Agents;
- Small Enterprise Development Agency (SEDA);
- Small Enterprise Finance Agency (SEFA);
- National Youth Development Agency (NYDA);
- National Empowerment Fund (NEF);
- Industrial Development Corporation (IDC);
- Department of Trade and Industry (DTI);
- Corporate Financial Institutions;
- Other mining houses operating in the same areas as Harmony; and
- Chamber of Mines.

Financial Provision

Table 39 provides the financial provision for Supplier and Enterprise Development for the SLP period 2023-2027.

Table 39: Financial provision for Supplier and Enterprise Development (2023 – 2027)

INITIATIVE	YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5	TOTAL
ESD Financial provision includes: Post Incubation, Training and Support Maintenance, Renovations and Equipment Support for BDC's						
ESD Financial Provision	R328 000	R0	R0	R0	R0	R328 000

HOUSING AND LIVING CONDITIONS

Submission of a housing and living conditions plan for mining licences

Section 2.6 of Mining Charter 2018 and section 9 of the Implementation Guidelines require mining rights holders to develop and implement a Housing and Living Conditions Plan. This aims to enhance and expedite transformation in terms of housing and living conditions, ultimately addressing the advancement of the social and economic welfare of all South Africans whilst ensuring economic growth and socio-economic development.

The Mining Charter 2018 denotes the principles underpinning both housing and living conditions and requires that mining right holders must comply with the Housing and Living Conditions Standard, by ensuring maintenance of single units, family units and other arrangements following agreements with labour. Pending the finalisation of the Reviewed Housing and Living Conditions Standard, 2019 Harmony confirms its commitment and endeavours to implement the Standard. However, the Standard remains to be finalised in place of the industry's commentary relating to the Draft as gazetted on 20 March 2019. The outline in the section follow aligns with the Mining Charter 2018 and its implementation guidelines. Harmony acknowledges and commits that the following section on Housing and Living Conditions would require revision and amendment once the Standard has been finalised and adopted.

Municipality strategy to address housing

The National Government Strategy to provide decent housing for all revolves around the strategy to develop sustainable human settlements, which includes housing, business, social amenities and schools in a planned and social cohesive manner. This strategy filters down to the Provincial and Municipal levels where the actual execution of this strategy occurs. To support this strategy Harmony makes available suitable land where feasible and, in some instances, co-developed human settlements with private sector developers.

Strategy and measures to address housing and living conditions

The Group accommodation policy and strategy guide all Harmony Operations, and the strategy is as follows:

- Our strategy is to provide decent accommodation and living conditions options to our employees by giving a choice of options in residences Single Accommodation Complex (SAC), rentals, mine houses, family units and a home ownership options; and
- Furthermore, we assist local economies, SMMEs, schools, organisations and individuals in our communities by providing premises at nominal rentals.

This Operation is aligned with the Harmony Group Housing and Accommodation Policy and Strategy and commits to improving the living conditions of its employees. The housing strategy is outlined below.

Housing strategy

Harmony recognises the human dignity of all employees and acknowledges the family structure as the nucleus of a balanced society. To further this view, Harmony provides its employees with a variety of accommodation options and a housing subsidy in a form of a Living out Allowance.

- Through the encouragement of home ownership by, selling houses and serviced stands on proclaimed land, the facilitation of financial opportunities and the possible incorporation of

some mine villages, the mine will enable employees to become the owners of the houses in which they reside. This will be done in consultation and cooperation with unions and associations, appropriate regional authorities, municipalities and the legislation (MPRDA and Spatial Planning and Land Use Management Act (Act 16 of 2013) (SPLUMA)) that guides these activities.

Current status of available housing options for employees

“Human dignity and privacy for mineworkers are the hallmarks to enhance productivity and expedite transformation in the mining industry in terms of housing and living conditions”.

Mining Charter

Harmony Operations have implemented measures to improve the standards of housing and living conditions for their employees by offering a variety of housing options to their employees.

- Harmony maintains 171 company-owned residential units through a structured maintenance model;
- The SAC(Hostel) residences house employees in single-room accommodation units; and
- Living out allowance is paid to 2211 employees that don't reside in mine accommodation.

A total of corporate and central service employees (160) are residing in company accommodation and 679 employees are not residing in mine accommodation.

The mine has also established accommodation forums to consult with employee representatives in developing policies and plans relating to housing and living conditions. Elected SAC (Hostel) Residents' Committees with full-time members representing the employees' interests in the management of the residences have been seconded.

New home ownership model

The mine promotes home ownership by:

- In order to assist employees in accessing affordable housing, the existing mine houses in proclaimed areas are sold to employees at discounted rates
- Employees not residing in company accommodation that has purchased either company accommodation/third-party accommodation are receiving an increased home owners allowance and employees that are only occupying third party accommodation through a rental option are receiving the normal living out allowance
- Harmony also facilitates the home ownership programme through an agreement with IEMAS – a credit company- for pension-backed loan in order to further assist employees with housing-related funding; this facilitation is also pursued with various South African Banking Institutions
- Home Ownership Concessions to Harmony employees involves non-taxable discounts, which includes:
 - Refurbishment discount (market-related renovation discount as per the sqm of a unit)
 - Years of Service (5% for every five years of employment with a maximum discounted rate of 40%)

- 10% Memorandum of Understanding (MoU) discount (Agreement between the Company and Organized Labour)
- 10% Voluntary Severance Package (VSP)/Retrenchment Discount (when applicable).

The homeownership model was aligned and includes all company houses within the Harmony Operations in the municipal (proclaimed) areas, namely:

- Moab Khotsoang Operations
- Gauteng Operations
- Mponeng Operation
- Free State Operations.

Funding credit facilities information – IEMAS

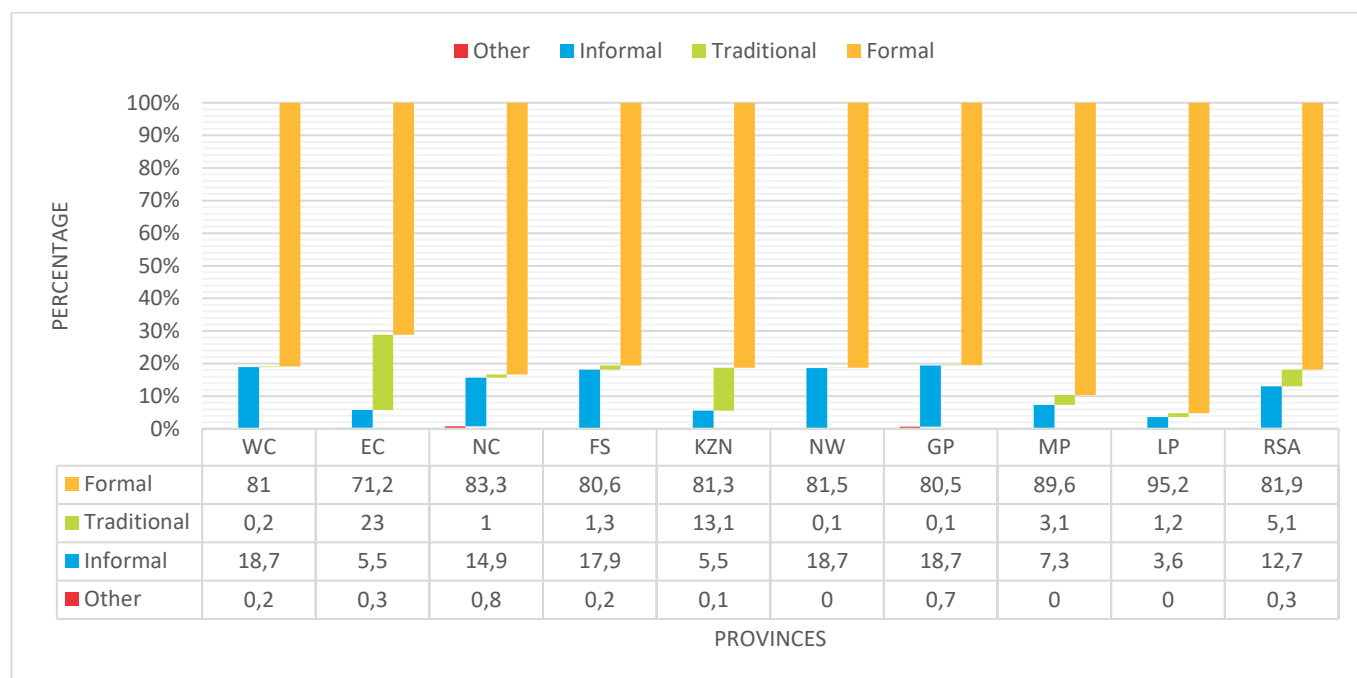
Table 40 displays the credit facilities information, outlining the provinces, number of employees and loan amount for 2020 and 2021, respectively.

Table 40: Funding credit facilities information – IEMAS

PROVINCE PROPERTY PURCHASED	INFORMATION DATE	NO. OF EMPLOYEES	LOAN AMOUNT (R)
2020			
Gauteng	05 October 2020	535	R70 108 220.17
Free State	05 October 2020	348	R46 194 642.05
KwaZulu Natal	05 October 2020	2	R468 521
Total		885	R116 771 348.11
2021			
Gauteng	23 February 2021	573	R76 601 714.86
Free State	23 February 2021	388	R50 343 112.32
KwaZulu Natal	23 February 2021	2	R456 428.93
Total		963	R127 401 256.11

Current status of houses within South Africa, per provinces

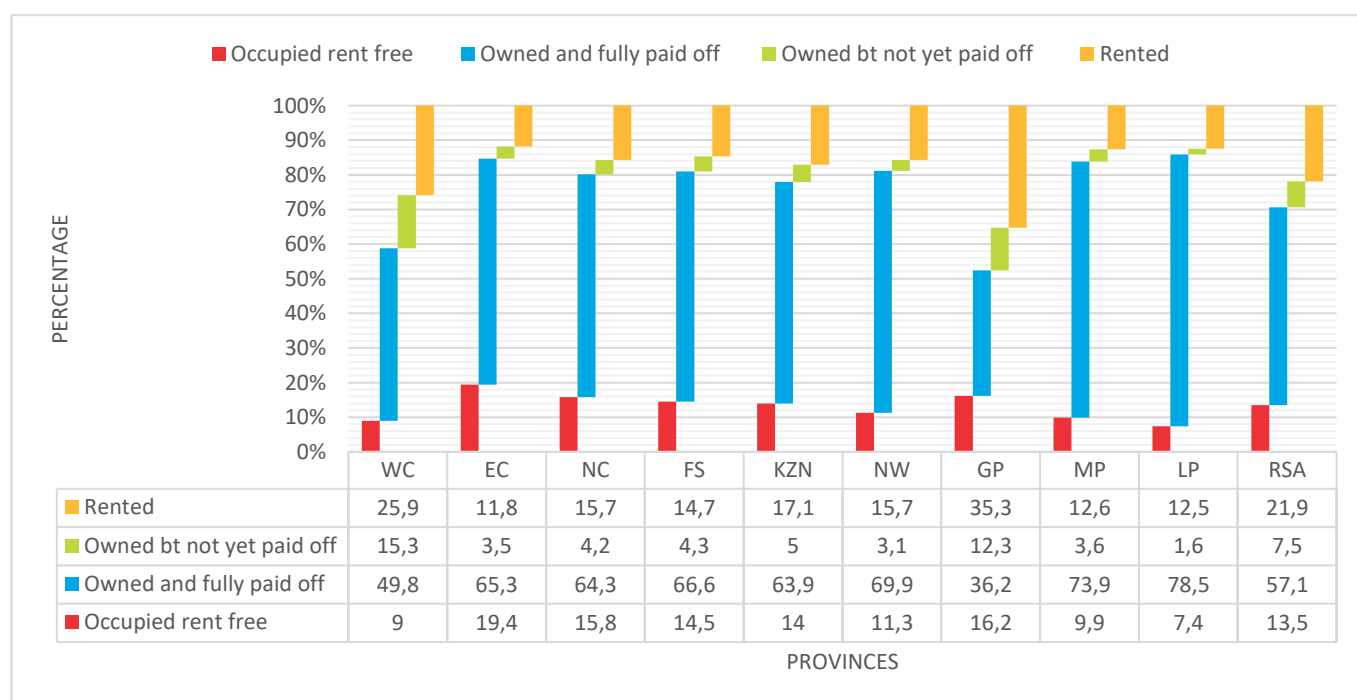
Figure 8 outlines the percentage of people that live in formal, informal and traditional dwellings per province. The graph shows that slightly more than eight-tenths (81,9%) of South African households lived in formal dwellings in 2019, followed by 12,7% in informal dwellings, and 5,1% in traditional dwellings. Households that lived in formal dwellings were most common in Limpopo (95,2%) and Mpumalanga (89,6%). Approximately one-fifth of households lived in informal dwellings in Gauteng and Western Cape (both 18,7%) and North-West (18,4%). Traditional dwellings were most common in Eastern Cape (23,0%) and KwaZulu-Natal (13,1%).



(Source: Housing and Living Conditions Survey, 2019)

Figure 8: Percentage of households that lived in formal, informal and traditional dwellings by province, 2019

Figure 9 displays that households that lived in rented dwellings were most common in Gauteng (35,3%) and Western Cape (25,9%) and least common in Eastern Cape (11,8%) and Limpopo (12,5%). By comparison, the most significant percentage of households that lived in dwellings that were either paid off or being occupied rent-free were found in Limpopo (85,9%) and Eastern Cape (84,7%), while the smallest percentages were observed in Gauteng (52,4%) and Western Cape (58,7%).



(Source: Housing and Living Conditions Survey, 2019)

Figure 9: Percentage of ownership status, 2019

Workforce preferred requirements for housing and living conditions

Hostel upgrade

Mining Charter 2010 - 2014 requires that all hostel residences be converted and maintained to single-room accommodation. All the operational Harmony mines' residences comply with this condition. The Operations remain compliant with one employee per room. Hostel Residents' Committees, with full-time members representing the interests of the employees in the management of the residences, have been elected. Table 41 presents an overview of housing support.

HARMONY GOLD

Table 41: Housing support

	DOORNKOP MINE		KUSASALETHU MINE		MPONENG MINE		TOTAL NUMBER OF EMPLOYEES	
	ACTUAL	PLAN 2022	ACTUAL	PLAN 2022	ACTUAL	PLAN 2021	ACTUAL	PLAN 2021
Number of Employees Accommodated in Single Units	1054	1046	1849	1845	1937	1930	4840	4821
Number of Employees accommodated in Family Units	161	124	649	655	1465	1467	2234	2246
Number of Employees Receiving Rental Subsidy	23	94	625	625			718	719
Number of Employees Receiving Home Ownership Subsidy	21				91	91	91	91
Number of employees Receiving Living Out Allowance	2211	2321			2268	2272	7168	7185
Total	3470	3585	3123	3125	5761	5760	15051	15062

Proclamation of Mine Villages

Background Information

Harmony still owns in excess of 3 200 mine houses situated in un-proclaimed areas that are connected to mine bulk services supply. Harmony is working with provincial Human Settlement Department, Housing Development agency and relevant municipalities assessing possibilities of proclamation of some of these villages. Harmony recognises that, both the MPRDA and SPLUMA legislation must be complied with, and to this end, an IDP and Spatial Development Framework must first be completed and approved by the relevant municipality.

Multi-Disciplinary Task Team

Harmony continues to engage government departments for some probable long-term solutions on land and legacy properties. The Multi-Disciplinary Task Team was established by both the Minister of Mineral Resources and Energy and Harmony EXCO to facilitate and fast-track the process of land and property donation, inter alia, draft a blueprint for submission, approval and implementation thereof.

This Task Team comprises Matjhabeng municipality, Matlosana municipality, Harmony and the DMRE. These task team interventions would further be applied in Gauteng and other relevant provinces. The team later identified the need to encompass the Department of Human Settlement, Water and Sanitation and the Housing Development Agency to align with some of the strategic goals and 'principles'.

Donation of Land to local municipalities

In the past Harmony donated land to local municipalities such as Rand West City Local Municipality and Matjhabeng Local Municipality (Table 42). Harmony may consider this option in future through the above-mentioned joint Multi-Disciplinary Task Team with conditions that aren't only beneficial and favourable to the local communities but also ensures that such land donations do benefit its employees. This arrangement has been sanctioned and approved by the relevant municipalities.

Table 42: Prefeasibility study on mine village's proclamation

AREA	ACTUAL PROGRESS	PROGRESSIVE PLAN 2024	REMARKS
Free State Operations	64 %	100 %	Encouraging progress — The Free State was prioritised given the decline of mining activities and its potential marginal state
North-West	20 %	95 %	In progress
Gauteng	10 %	100 %	Certain villages (West Wits) in the Carletonville area will also be given priority.

Financial Provision – House and living Conditions

Table 43 includes the financial provision for housing and living conditions for the SLP period 2023 to 2027.

Table 43: Financial provision for Housing and living conditions (2023 – 2027)

FINANCIAL PROVISION - HOUSE AND LIVING CONDITIONS		
PROJECT	PLAN	TOTAL
	Year 1	
Wedela	R 841 000	R 841 000
Total Financial Provision	R 841 000	

HEALTH AND NUTRITION

Measures to address nutrition: Nutrition Management

Approximately 8069 of Harmony's employees are housed in 9 hostels. Meals are provided to resident employees, widows and visiting wives at some hostels.

Dietary analysis of the current menu indicates that it adequately caters for the energy and nutritional requirements of mineworkers, based on Dietary Reference Intake (DRI) guidelines as defined by the Institute of Medicine, Food and Nutrition Board, USA and studies done by the Chamber of Mines Research Organisation (COMRO, 1991) into the nutritional requirements for underground mine workers performing moderate to hard work.

- DRI is the collective name that refers to a set of at least four nutrient-based reference values
- The estimated average requirement (EAR) nutrient intake is the value that is estimated to meet the nutrient requirements in 50% of the individuals in a given life-stage and gender group
- The recommended daily allowance (RDA) is the daily dietary intake level sufficient to meet the nutrient requirements of 97 to 98% of individuals in a given life stage and gender group.
- Adequate intake (AI), in the case where the scientific evidence is inadequate to set the EAR, is used instead of an RDA
- Tolerable upper intake (TUI) is the highest level of nutrient intake that is considered unlikely to pose any risk of adverse health effects to almost all individuals in the general population
- Acceptable macronutrient distribution range (AMDR) is a range of intake for a particular energy source associated with reduced risk of chronic disease while providing adequate intakes of essential nutrients

Additional Information

Where South African information on Industrial feeding is unavailable, international best practices are used.

Energy Requirement

The diet plan is drawn up using the COMRO reference report 91/11 as a basis to establish the energy requirement of workers. R146, 2016; MHSA Act 29 of 1998.

Macro-nutrient requirement

The macro-nutrient requirements are established using DRI's, a collective term that refers to a set of at least four nutrient-based values. This represents a shift from "avoiding deficiency states" as determined by clinical manifestation and status to *"maximising health and promoting quality of life"*.

This is part of the report on DRI's for energy, carbohydrate, fibre, fat, fatty acids, cholesterol, protein, and amino acids (2002) by the Food and Nutrition Board of the United States Nutrition Board of the Institute of Medicine, National Academy of Sciences, Washington, USA:

- AMDR
- An AMDR is defined as a range of intake for a particular energy source associated with reduced risk of chronic disease while providing adequate information of essential nutrients
- The acceptable ranges are as follows -
 - Carbohydrate 45-65%
 - Protein 10-35%
 - Fat 20-35%.

Micro-Nutrient Requirement

The DRI is used as a reference for all micro-nutrients except Vitamin C, where a South African reference exists. There are three micro-nutrients which are directly influenced by the industry.

- Vitamin C:
It is required for normal body temperature regulation and assists with the body's ability to adjust to underground environmental conditions. The recommendation for the mining industry is 250mg per person per day
- Vitamin A:
It is required for standard dark adaptation time. There are no industry-specific requirements, and the DRI is used as a reference. (900 micrograms per day)
- Vitamin D:
Vitamin D intake is affected, as the primary source of Vitamin D is from the photochemical action of ultraviolet sunlight on the 7-dehydroxycholesterol produced in the skin. Because of the limited exposure to sunlight, it is necessary to ensure adequate Vitamin D intake. It was, however, not possible to assess the menu content as the database is limited in its Vitamin D information. This is a problem with most of the databases used for nutritional analysis

Vitamin enriched food products are considered when food only, does not meet with the requirements. Mageu is one of these foods products and is enriched with 200mg Vitamin C per 1000ml and 150mg Calcium per 1000ml.

Macro-nutrient as % energy:

- Carbohydrate 45 – 65% of total energy;
- Protein 10 – 35% of total energy; and
- Fat 20 – 35% of total energy.

Nutrition plan

The nutrition plan refers to the list of food groups incorporated in each meal instead of a menu, which lists specific dishes served at each meal. To ensure that balanced meals are served, the number of meals and the food groups to be served at each meal is considered (refer to

Table 44).

Number of meals

Traditionally only a pre-shift or breakfast and a post-shift or main meal were served in the hostel kitchens. Three meals are served to resident employees. Breakfast supplies approximately 25-30% of the daily nutritional requirement; main meal about 40-45%, and supper 20-25%.

South African food-based Dietary Guidelines (revised 2012)

- Enjoy a variety of foods.
- Be active!
- Make starchy foods part of most meals.
- Eat plenty of vegetables and fruit every day.
- Eat dry beans, split peas, lentils and soya regularly.
- Have milk, Amazi or yoghurt every day.
- Fish, chicken, lean meat or eggs can be eaten daily.
- Drink lots of clean, safe water.
- Use fats sparingly. Choose vegetable oils, rather than hard fats.
- Use sugar and foods and drinks high in sugar sparingly.
- Use salt and food high in salt sparingly.

Quality management system

Quarterly audits will be carried out in cooperation with the catering manager and registered dietician on the standard of facilities and hygiene, as well as an analysis of the menu in terms of compliance to nutritional guidelines for the mining industry (COMRO Report) and further guidelines as amended from time to time.

Table 44: The nutrition plan measures the following dimensions every quarter

MENU	MINIMUM GUIDELINE	SOURCE
Energy (kJ)	13 000kJ	DRI and R146, 2016 MHSA, Act 29 of 1998
Carbohydrate (g)	440g (57%)	AMDR
Protein (g)	135g (18%)	AMDR
Fat (g)	85g (25%)	AMDR
Vitamin C (mg)	250mg	SA Mining Guideline
Vitamin A (IU)	1 000IU	DRI
Calcium (mg)	1 000mg	DRI

Findings will be recorded to monitor the progress of this issue over time. To establish and maintain high standards in catering facilities, regular food services audits are conducted by mine officials, together with union or association representatives.

In order to ensure customer preference, meetings are held with worker representative structures with the aim of including their proposals in the menu. Records of these discussions are used to improve nutrition on an ongoing basis. Random customer satisfaction surveys are also carried out quarterly to determine service levels and identify problem areas.

Dietary plan

The diet plan presented in Table 45 is used as a guideline to establish meal frequency and portion sizes. All portions are quoted in raw quantities.

HARMONY GOLD

Table 45: Dietary plan

WORK CATEGORY	MODERATE LIGHT WORK	MODERATE WORK	MODERATE HARD WORK	HARD WORK
ENERGY EXPENDITURE	12000KJ	13000KJ	14000KJ	15000KJ
Examples of workers	Electrician / Mine Overseer / Loco Crew	Equipping team / Team Leader / Stope Team / Miner Assistant / Cleaning team	Loader Driver / Winch Driver	Driller / Drill Assistant
Breakfast				
Cereal	90g	90g	90g	90g
Bread	220g	220g	220g	220g
Spread	20g	20g	20g	20g
Protein	60g	60g	120g	120g
Beverage	300ml	300ml	300ml	300ml
Main Meal				
Protein	180g	210g	270g	270g
Gravy / Soup	10g / 100ml	10g / 100ml	15g / 150ml	15g / 150ml
Starch	60g	90g	90g	90g
Maize meal	150g	150g	150g	150g
Vegetable 1	150g	150g	150g	150g
Vegetable 2	(green / yellow)	(green / yellow)	(green / yellow)	(green / yellow)
Fruit	100g	130g	130g	130g
Juice	250ml	250ml	250ml	250ml
Dessert				
Mageu	500ml	500ml	1000ml	1000ml
Supper				
Protein	60g	60g	120g	150g
Milk	250ml	250ml	250ml	250ml
Gravy / Soup	10g / 100ml	10g / 100ml	10g / 100ml	10g / 100ml
Maize meal	60g	90g	120g	120g
Bread			30g	60g
Vegetable	100g other	100g	100g	100g
Beverage	300ml	300ml	300ml	300ml

Menu

Table 46 provides the Daily Allowance (Meal plan) (with all quantities quoted as raw or uncooked product portions). Table 47 presents the Approximate Nutritional Value of the Meal Plan and Table 48 includes the suggested, but not limited to, menu options.

Table 46: Menu

ITEM	SERVING
BREAKFAST	
Breakfast Cereal	90g
Bread	210 – 240g (6 slices)
Spread	25g
Protein	100g
Beverage Pack	300 ml (includes sugar and creamer)
Sugar	20g
Condiments	5g
MAIN MEAL	
A daily choice between beef and chicken and for five (5) days, a processed product is offered	
Protein	300g (beef 300g, Chicken 300g, processed products 200g)
Maise meal	120g
Starch	90g – a daily choice between Samp, Samp and Beans, rice or maise rice is offered
Vegetables	200g
Fruit	130g
Salad	60g (4 times per week)
Fruit Salad	150g (once per week instead of fruit)
Jelly & Custard	40g (once per week)
Mageu	500ml
Juice	200ml (once in 2 weeks)
Cold Drink	30g (Powdered drink)
Condiments	15g
Oil	10ml
SUPPER	
Protein	100g
Mild / Amazi	300ml (twice per week) A choice between Amazi or Yoghurt
Salad	40g (Four times per week)
Pap or Starch	40g
Condiments	5g

HARMONY GOLD

Table 47: Approximate Nutritional Value of the Meal Plan (* Includes enriched quantities)

Energy	kJ	14 700	
Protein	g	178	21%
Carbohydrate	g	446	51%
Fat	g	112	29%
Vitamin A	µg	960	
Vitamin C	mg	240	
Calcium*	mg	1 250	
Iron	mg	20	

Table 48: Suggested but not limited menu options

BREAKFAST	
Cereal	Mealiemeal, Brown lambalazi ⁴ , White lambalazi, Mabele
Protein	Boiled/ scrambled egg, Viennas, Pasta, Mince, Wors, Giblets, Chicken stew, Spaghetti bolognaise, Gizzards & necks, Meatballs, Ox tripe, Steak and onion stew / Amazi / yoghurt
Powdered drink	Assorted Flavours
MAIN MEAL	
Protein	- Chicken is the main protein served every day - A choice of beef and chicken stew is served as a second option different cooking methods should be applied – stewing; braising; grilling; frying. - Processed products: can be served as an alternative or third option and includes fish / tripe / mince / wors / pork chops
Porridge	Maize meal
Starch	Rice, Samp, Samp and beans, Beans, Mazebe ⁵ mix
Vegetables	A variety of vegetable in season – use different cooking methods
Salad	Carrot, Beetroot, Coleslaw
Fruit	A variety in season
Mageu	Banana and cream flavour
DINNER	
Protein	Wors, Mince, ox liver, chicken stew, Beef stew, Bean soup, Ox tripe
Porridge	Maize meal
Diary	Amazi, Yoghurt

Note: Any additions to the lists mentioned above should go through proper consultation, and it should also be cost-effective. Items should be added in the correct group. (I.e., an item in the “protein group” cannot be substituted for an item in the “vegetable group”)

⁴ Lambalzi –a traditional sour porridge

⁵ Mazebe mix – mixed dried peas and beans





SECTION 4 OVERVIEW

This section details the entities and processes which have been set up at the operation to manage downscaling and retrenchment.

IMPORTANT NOTE:

This Operation is coming to the end of its lifetime and plans to still operate has been put in place for another one (1) year. However, this might change and will be determined by factors including, but not limited to, gold price, strength of the Rand, availability of reserves, etc.



SECTION 4: MANAGEMENT AND DOWNSCALING AND RETRENCHMENT

In line with Regulation 46(d): Management and Downscaling and Retrenchment

PROCESS FOR THE MANAGEMENT OF DOWNSCALING AND RETRENCHMENT

As per the MPRDA, the process pertaining to the management of downscaling and retrenchment must include:

- *The establishment of the Future Forum;*
- *Mechanisms to save jobs and avoid job losses and a decline in employment;*
- *Mechanisms to provide alternative solutions and procedures for creating job security where job losses cannot be avoided; and*
- *Mechanisms to ameliorate the social and economic impact on individuals, regions and economies where retrenchment or closure of the mine is certain.*

Introduction

This section of the SLP deals with the issues of downsizing mines from a Harmony perspective. The approach in this section applies to all mines at Harmony and is enforced by group policy and procedures, group agreements and undertakings, Chamber of Mines agreements, and government legislative frameworks. Harmony's approach to the management of downscaling is Harmony's twin growth strategy through greenfield and brownfield exploration and through project development which informs the approach. Considering the Company's approach to the management of downscaling operations, it must be remembered that the Harmony of today was built up by acquiring mines from other mining houses.

By acquiring mines which other companies regarded as marginal or unprofitable and turning these mines around through diligent control of costs and focus on careful management of the assets, Harmony has been able to grow into the fifth largest gold mining producer globally, thereby creating many job opportunities which would otherwise have been lost to the South African economy.

In addition to the strategy of growth and job creation through acquisition, Harmony has several projects which will, in turn, be brought up to full production in the short and medium term. The growth projects are set out in more detail below.

From a holistic point of view, although some mines may be downscaled, new opportunities will come into production, thereby creating job opportunities for the South African economy within the wider group. It is the Company's intention to utilise these opportunities to absorb the excess labour that may result from unavoidable downscaling, as has been proven over the past five years.

Regrettably, gold mining is not as predictable as other businesses. The implications of the rand and gold price fluctuations, and the mining out of ore bodies, is the threat of job losses which is constant reality management, unions, government and communities have to face. This, in turn, necessitates planning to alleviate the effects of downscaling as far as possible. Harmony has embarked on the steps as set out below, in accordance with the requirements of the MPRDA, the Mining Charter, as well as the Labour Relations Act, 1995 (Act No 66 of 1995) (LRA), notably sections 189 and 189A. This does not preclude other relevant legislation, as well as extensive collective agreements with organised labour, and the desire to be a responsible corporate citizen.

Establishment of a Future Forum at Harmony Kusasalethu Operation

The Harmony Kusasalethu operation's Future Forum is operational, comprising representatives from mine management and unions or association branch committee members. This forum was set up to deal with productivity improvement issues, minimising job losses and limiting the impact of downscaling and retrenchments where these cannot be avoided. Mindful that the forums experience challenges of inefficiencies and continuity due to continuous change of representation, Harmony continues to conduct annual audits on the functioning of the Future Forums. Steps are always taken to address these challenges, for example, reviving the forums and improving their efficiencies.

Members of Future Forums are continuously inducted or capacitated on the social plan, the Department of Labour's national social plan policy, Harmony's social plan framework, the SLP regulation and their functions.

The aims and objectives of the forum are as follows:

- Implementing early warning systems regarding changes to the existing life of mine
- Discussing strategic plans to avoid or minimise retrenchments and job losses and to promote sustainability and growth within the operation
- Analysing monthly or quarterly performance by assessing operating and management reports
- Developing early warning systems for the mine
- Timeously analysing problems or operational issues

- Assisting in developing turnaround and or redeployment or other appropriate strategies to avoid or minimise job losses while promoting business competitiveness and viability
- Assisting in developing measures to avoid or minimise job losses and retrenchments – taking account of the viability and operational requirements of each mine and making recommendations to the specific shaft management team
- Coordinating and implementing approved solutions in a planned manner.

The forum is consensus-driven, and it operates in a completely transparent environment. Parties to the forum work together to improve the mine's performance and job security. The culture and approach of the forums is one of joint problem solving with management and organised labour 'on the same side in attempting to prolong the life of the mine and achieve the best possible return for all stakeholders from the ore body. All necessary information is placed at the disposal of the forums to ensure they make fully informed decisions. They do not deal with collective bargaining issues, however, as these tend to be adversarial in nature.

Functions of Harmony Kusasalethu Operation Future Forum as required by the law

- *To notify the Minister of Mineral Resources on any matter concerning the social and economic impacts of the mining operation throughout the life of the mine within the operation, especially when major retrenchments are anticipated.*
- *Liaising with the social plan directorate of the Department of Mineral Resources and Energy (DMRE) and other stakeholders concerning social plan issues.*
- *Ensuring that appropriate early warning systems are established in advance and the results made available to the members of Future Forums on a regular monthly basis.*
- *Advising the mine on any matter concerning the social and economic impacts of the mining operation, specifically the setting and achievement of objectives and priorities in this regard.*
- *Using the appropriate methods of monitoring compliance to achieve such objectives and priorities.*
- *Conducting audits, studies or surveys on the needs of all employees that will indicate the skills they require for training.*
- *Creating awareness among employees of the contents of the social plan within each mine.*
- *Identifying suitable service providers for training per the employees' needs analysis.*
- *After due internal processes, drawing the attention of the board to any relevant social and economic mining-related matter which requires attention.*
- *The board may refer matters for consideration by the forum.*

Table 49: Implementation Plan for 2023 – 2027

ACCOUNTABLE PERSON	TASK / ACTION	TIME
HR Leaders	- To promote ongoing discussion with Future Forum members - To continually identify possible challenges and solutions with employment and the operation's productivity - To identify and assist in the development of production and employment turn-around strategies	Monthly/quarterly or as needed in response to the situation
HR Leaders	Consultations with the relevant unions, worker representatives and employees likely to be affected by the retrenchment	As per legislation
HR Leaders	Identify turn-around strategies and alternatives to avoid or minimize retrenchments	As per legislation,

Mechanisms to avoid job losses and a decline in employment

In terms of Section 189(2) of the LSA, the company is required to consult with employees concerning contemplated retrenchment. The parties must attempt to reach a consensus on appropriate measures to avoid the dismissals, minimise the number of dismissals, change the timing of the dismissals, and mitigate the adverse effects.

The Harmony Kusasalethu Operation's Future Forum structures engage on matters broader than the above legislative requirement, i.e. whenever structural workplace change is envisaged, as well as on matters contained in the Social and Labour Plan, its implementation and the need to monitor progress. The Future Forum is an essential structure for identifying opportunities that may exist to promote employment sustainability. Presentations have been made for sharing these with our employees and organised labour.

The company is acutely aware of its obligation to comply with the requirements of Section 52 of the MPRDA by way of notifying the Minerals and Mining Development Board where retrenchment of 500 employees or 10% of the labour force (whichever is the lesser) is contemplated in 12 months, or where prevailing economic conditions cause the profit to revenue ratio of the mine to be less than six % for a continuous period of six months. It must also comply with any ministerial directive arising from such a process.

Alternative solutions and procedures for creating job security where job losses cannot be avoided

As discussed, the primary method by which Kusasalethu Operation intends to avoid retrenchments is by providing other employment opportunities. The recommendations will include the following measures:

- Exploring synergies and trade-offs between mines
- Mining of low-grade areas
- Reduction of costs
- Exploration of new technology in mining for longer-term sustainable operations
- Conducting strategic assessment and setting performance goals to reduce high costs
- Growth and acquisition objectives of Harmony as a whole
- Redeployment within the Group
- Managing/cessation/stopping recruitment of new employees
- Voluntary/compulsory early retirement
- Voluntary severance packages
- Termination of services of temporary and contract labour
- Employment in other companies outside the Company
- Adjustment to working arrangements
- Portable skills training

However, if it becomes impossible to avoid downscaling, despite the efforts of the management and the work of the Future Forums, the Future Forum will be tasked with finding alternatives to retrenchment and the loss of jobs. This process has been well established in South African labour relations practices and is comprehensively set out in sections 189 and 189A of the LRA. The provisions of the Act allow the representatives of affected employees the opportunity to examine the reasons for the proposed downscaling, to present and consider alternatives to job losses, and propose measures to mitigate the effects of the loss of jobs on employees and communities.

The Future Forum is tasked with ensuring that retrenchments are avoided wherever possible but where they cannot be avoided, it is the Future Forum's task to ensure that the retrenchments take place in an orderly manner with every effort made to reduce the negative consequences on employees and affected communities.

A range of possible courses of action to achieve these objectives, which the company plans to implement at Kusasalethu Operation should downscaling and retrenchments become unavoidable, is set out below. The detailed implementation of these alternatives to retrenchment will be discussed and agreed upon as and when required in terms of the provisions of the LRA, other relevant legislation, guidelines and collective agreements.

Mechanisms to Ameliorate the Social and Economic Impact of the Downscaling and Closure.

Harmony will help impacted employees find other employment or sustainable livelihoods as much as it can. This will be done when workers are not yet of retirement age and cannot be integrated or redeployed to other operations. Voluntary separation is one of the avoidance measures. As far as possible, the HRD programmes will be used to retrain the personnel and prepare them for other employment following the mine's closure. Furthermore, Harmony provides portable skills training to prepare affected employees for employment in other sectors of the economy and self-employment.

Table 50: Implementation Plan for 2023 – 2027

ACCOUNTABLE PERSON	ACTION	TIMING
Future Forum	Regular meetings with the Future Forum to explore productivity, sustainability, and any scenarios that may affect and improve productivity. Meeting minutes and records are to be kept.	Ongoing
HR Leaders	In the event of unanticipated downscaling and retrenchments, conduct a sensitive dialogue with unions and relevant government ministries.	Commence ASAP and Ongoing
HR Leaders	Consult with both mine-dependent suppliers thoroughly and respectfully.	In the case of restructuring or downscaling
HR Leaders	Building capacity to help the affected employees through portable skills training.	Ongoing
HR Leaders	Provision of portable skills, primarily not connected to mining, to workers facing layoffs Through portable skills training, employees get the opportunity to manage individual careers and skills gaps.	Ongoing

Voluntary or compulsory early retirement

Preference may be given to retaining younger employees and allowing those closer to retirement to terminate their employment. This principle will have to be considered and accepted by employee representatives in the context of the consultations envisaged by sections 189 and 189A of the LRA, which the company and employee representatives will follow.

Voluntary severance packages

In circumstances where extensive job losses are being contemplated, there will be employees who, due to their skills, experience and/or financial circumstances, are less dependent on Harmony for employment than others. These employees will be allowed to voluntarily terminate their services.

Stopping new recruitment

When employees may lose their jobs, it is not feasible to continue recruiting new staff. However, there may be special skills which are required or particular shortages which cannot be readily filled through training and development. If it is not possible to fill the needs of the operations, such selective and restricted recruitment may continue but will be closely monitored and conducted in a completely transparent way.

Termination of services of temporary and contracted labour

Harmony has an agreement with the National Union of Mineworkers (NUM) that restricts the employment of contractors and temporary employees to specific circumstances. Replacing these contractors with our own employees that have become redundant is a consideration.

Employment in other companies outside of Harmony

The company will make use of the services of TEBA to attempt to place excess employees elsewhere in the industry as well as contact other employers in mining and other large-scale industries to place redundant employees.

Adjustments to working arrangements

This alternative includes arrangements such as working part-time, making adjustments to shift schedules, reductions in the length of the working week, extended home stay periods and temporary lay-offs. It is a source of potential job loss reduction which has, regrettably, not met with much acceptance by organised labour in South Africa but is used extensively in other countries with some success. Harmony plans to pursue this type of alternative with organised labour should job reductions become unavoidable. Any proposal will only be implemented with the agreement of the employee representatives concerned.

Reduction of overtime

The use of extensive overtime is an undesirable work practice. Overtime is expensive and, where it occurs on a large scale, reduces job opportunities. The company constantly ensures that all overtime is strictly controlled and that only unavoidable overtime is worked. In circumstances where job losses are being contemplated, overtime will receive particularly close attention with a view to restricting it so that only absolutely necessary and unavoidable overtime is worked.

Working on off days

Employees could be approached from time to time to agree to work additional shifts on off Saturdays and public holidays in order to improve productivity and generate additional revenue.

Section 189 and 189a of the LRA

Harmony Kusasalethu Operation will engage in formal Section 189 and 189A consultations with recognised employee representatives as soon as retrenchments are contemplated.

Section 52 of the MPRDA

The company and its mines will provide the DMR with a letter for submission to the Minerals and Mining Development Board, as required by this section.

National social plan guidelines

The consultation process as set out in the National Social Plan guidelines will be followed, whereby employees' representatives and the Department of Labour are notified of and consulted on the contemplated downscaling.

Moratorium recruitment of new employees

The Kusasalethu Operation will discontinue the recruitment of new employees while attempting to fill vacant positions with its existing complement of employees who are suitably qualified, skilled and experienced, provided that Harmony will be entitled to recruit employees with specialist skills and where a shortage of labour has occurred in a particular category.

Portable skills training

Portable skills training is one of the most sustainable methods of mitigating the effects of downscaling and industry job losses. It gives affected employees the opportunity of viable long-term independence from the mining industry's uncertainties. For this reason, the Kusasalethu Operation must plan to make resources available for this type of training although it is possible to make arrangements to allow for training before, during or after the downscaling occurs and employment has been reduced. The mine plans to start such training before the need arises, thereby minimising the impact on affected employees and enabling them to take up alternative employment as soon as the need arises.

NEDLAC social plan agreement

In accordance with the National Economic Development and Labour Council (NEDLAC) social plan agreement, the Department of Labour will be notified of:

- The number of employees possibly affected
- Their job categories
- The timing of the proposed retrenchments
- The assistance being offered (including training)
- The prospects for re-employment
- The languages and areas of origin of affected employees
- Their skill profile
- The resources available to assist them

Details of the agreements and disagreements or disputes with recognised and affected unions. Discussions will also be held with the department regarding any additional services that may be required, including the deployment of a retrenchment response team.

Department of Labour

It is envisaged that Kusasalethu Operation will make use of the Department of Labour's retrenchment response teams. They will set up job advice centres for affected employees at the mines in question,

provide affected employees with information packs and advise on the Unemployment Insurance Fund (UIF), assist work seekers in registering with the department and advise on the labour market and employment opportunities.

The mines agreed with the department regarding providing services to assist employees, including group counselling, employment counselling, training of affected employees and placement services. If necessary, additional staff will be contracted to assist the department and the mines in ensuring these services are provided. Where necessary, the above services provided for the affected employees will be for the mine's cost.

The Department of Labour is also required to notify the National Productivity Institute and the provincial and local governments of any anticipated retrenchments.

Compliance to the Mining Charter 2018 and IDP of the mining communities and labour-sending regions

Since some of the operation's employees are sourced from mining areas or labour-sending regions such as Swaziland, Mozambique, Lesotho, Eastern Cape and Botswana, the mine's will always ensure that the provided portable skills are complementary to the local economic needs of their respective areas. The budget for provision for Harmony's Social Plan Trust Fund, established in terms of the Social Plan Framework Agreement, is in a healthy state and will be able to cater for any eventually. The allocation of these funds will be in accordance with the framework agreement.



SECTION 5 OVERVIEW

The DMRE SLP Guidelines require that the applicant for a mining and production right must provide financially for the SLP. This section details the financial commitments in terms of human resource development, local economic development (community projects) and the total SLP financial commitment.

SECTION 5: FINANCIAL POSITION

In line with Regulation 46(e): Financial provision

FINANCIAL PROVISION

Harmony commits to spending the following provision for financing the SLP commitments as outlined in Table 51, Table 52 and Table 53.

This SLP assumes a gold price of R763 000/kg. However, should this price not be achieved on a sustainable basis, and should our SLP roll-out be impaired by the occurrence of events beyond our reasonable control, or should any risk factor (including, without limitation, the risk factors referred to above) materialise or alter materially, the roll-out of the programmes outlined in this SLP may require re-assessment.



HARMONY GOLD

Harmony Kusasalethu commits to spending the following provision for financing the SLP commitments as outlined in Table 51, Table 52 and Table 53.

Human Resource Development Commitment

Table 51: Financial provision for Human Resources Development (2023 – 2027)

		YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5	TOTAL FINANCIAL COMMITMENT
Description		2023	2024	2025	2026	2027	
Human Resources Development	AET - Internal	R946 440	R0	R0	R0	R0	R946 440
	Core Business Training	R949 464	R0	R0	R0	R0	R949 464
	Learnerships - Internal	R2 457 000	R0	R0	R0	R0	R2 457 000
	Learnerships - External	R873 600	R0	R0	R0	R0	R873 600
	Career Progression	R575 445	R0	R0	R0	R0	R575 445
	Bursaries - External	R300 000	R0	R0	R0	R0	R300 000
	Internships - External	R296 574	R0	R0	R0	R0	R296 574
TOTAL		R6 398 523	R0.00	R0.00	R0.00	R0.00	R6 398 523

Local Economic Development Community Projects

Table 52: Financial provision for Local Economic Development Projects (2023 – 2027)

SLP LED PROJECTS		YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5	TOTAL FINANCIAL COMMITMENT
		2023	2024	2025	2026	2027	
1	Oberholzer Waste Water Treatment Plant	R6 406 000	R 6 000 000	R0	R0	R0	R12 406 000
2	Continuation of Backlog Projects	R0	R 8 000 000	R0	R0	R	R 8 000 000
TOTAL LED PROVISION		R6 406 000	R14 000 000	R0	R0	R0	R 20 406 000



Total SLP Financial Commitment

Table 53: Financial provision for SLP Financial Commitment (2023 – 2027)

SLP PROGRAMMES		YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5	TOTAL FINANCIAL COMMITMENT
		2023	2024	2025	2026	2027	
1	Human Resource Development	R6 398 523	R0	R0	R0	R0	R6 398 523
2	Local Economic Development Projects	R6 406 000	R14 000 000	R0	R0	R0	R20 406 000
3	Supplier and Enterprise Development	R328 000	R0	R0	R0	R0	R328 000
4	Housing and Living Conditions Programme	R841 000	R0	R0	R0	R0	R 841 000
5	Downscaling and Retrenchment ⁶	Not less than 100 individuals @ R4 000 per person					R 400 000
TOTAL SLP PROVISION		R13 973 523	R14 000 000	R0	R0	R0	R28 373 523

⁶ Harmony will make financial provision for downscaling and retrenchments when and where needed and is committed to assessing the LOM on a continuous basis.



SECTION 6 OVERVIEW

This section indicates the person responsible for the social and labour plan as well as who is responsible to make known the social and labour plan to the employees and who must be contacted for follow-ups, requests, reports, queries, enquiries, discussions, etc. at time of such needs.

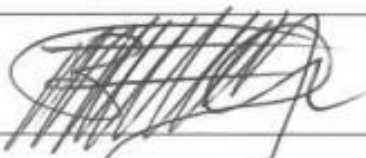


SECTION 6: UNDERTAKING

In line with Regulation 46(f): Undertaking

UNDERTAKING

I, BFM Malunga, the undersigned and duly authorised thereto by Harmony (Proprietary) Limited undertake to adhere to the information, requirements, commitments, and conditions as set out in Kusasalethu's Social and Labour Plan.

NAME OF RESPONSIBLE PERSON	BFM Malunga
DESIGNATION OF RESPONSIBLE PERSON	General Manager
SIGNATURE	
PLACE	Kusasalethu
DATE	02 December 2022

NAME OF RESPONSIBLE PERSON	Geert Lourens Peltus van Kemmeren's
DESIGNATION OF RESPONSIBLE PERSON	Human Resources Leader
SIGNATURE	
PLACE	KUSASALETHU
DATE	02 December 2022

APPENDICES

Appendix A: Proof of Submission - Workplace Skills Plan

Appendix B: Socio-economic needs and issues in the West Rand District Municipality and Merafong City Local Municipality

Socio-economic needs and issues in the West Rand District Municipality

KEY ISSUES/NEEDS	SECONDARY SUPPORTING DATA
Job opportunities and creation	- The WRDM has 6% of Gauteng's population - Un/Employment 32.7% of the population is unemployed 40% of Johannesburg's population is formally employed and classified as unskilled or semi-skilled 45% is classified as skilled, and only 14% of the total working population are highly skilled - The skills deficit in Johannesburg remains a critical challenge - Youth Unemployment - According to the City of Johannesburg IDP, youth unemployment is 41.2% - Slow formal sector growth is the major causes of youth unemployment - The majority of youth employment is low skills and are employed in the wholesale, retail & trade and private households, which accounts for 16% - Only 5% are employed in the highly skilled manufacturing sector - Level of Poverty - Both the upper bound and lower bound poverty rates have decreased somewhat across the district, from the high rates experienced in 1996 - Employment Sectors - The primary sector is the biggest employer accounting for 30% of total employment - The mining sector which employs 28.6% of the formal sector workers - The agriculture sector employs the most minor share of people at 1.7% - IDP Priorities include: - Priority 1 - End / Reduce Poverty and Ensure Zero Hunger Results - Priority 2- Good Health and Wellbeing / Healthy Communities Results - Priority 7 - Decent Work and Economic growth

HARMONY GOLD

KEY ISSUES/NEEDS	SECONDARY SUPPORTING DATA
Food security	• Agriculture (General Household Survey, 2020) ○ Only a small number of households within Gauteng are for the sole purpose of agricultural activities ○ 62.3% of households conduct agricultural activities as an extra source of food ○ With the 4.6% being for additional source of income, the main source of income and the smallest percentage for leisure • Food Security ○ The food rate within the WRDM was estimated to the 21.5% in 2019 • IDP Priorities include: ○ Priority 1 - End / Reduce Poverty and Ensure Zero Hunger Results ○ Priority 2- Good Health and Wellbeing / Healthy Communities Results ○ Priority 10 - Sustainable communities
Economic and social investment	• Due to the Covid-19 pandemic, there was a decrease in the number of SMME owned companies nationwide. • In 2021, only 33% of companies were owned by SMMEs (SMME Quarterly Update (SEDA), 2020). • Following the IDP priorities, the following are outlined: ○ Priority 8 - Industry, innovation, and Infrastructure ○ Priority 10 - Sustainable communities ○ Priority 12 - Partnership for Goals ○ Priority 14 - Safe Working environment
Access to water and sanitation services	• Water and sanitation ○ According to the general household survey(2021), 87.5% of households in Gauteng have flushing toilets, 4.3% have pit latrine/ toilets with ventilation pipes, 6.0% have pit latrine/ toilets without ventilation pipes, and 0.3% have no access to sanitation facilities. ○ The WRDM IDP indicated the following for the municipality: ▪ Hygienic Toilets 87.0% ▪ Piped Water 90.4% • IDP priorities include: ○ Priority 5 - Clean water and sanitation Result



HARMONY GOLD

KEY ISSUES/NEEDS	SECONDARY SUPPORTING DATA
	○ Priority 8 - Industry, innovation, and Infrastructure
Access to energy and electricity	• Energy and electricity ○ According to the WRDM IDP indicates that 82% of the municipal population has electricity ○ Based on the General Household Survey (2020), in 2020, electricity was the primary source of energy used for cooking, followed by other sources and then wood • IDP priorities include: ○ Priority 6- Affordable Clean Energy Results ○ Priority 8 - Industry, innovation, and Infrastructure
Education and training	• Education ○ According to the Department of Higher Education and Training Adult Illiteracy Fact Sheet (March 2022), Gauteng has an adult illiteracy rate of 5%, which is half of the national rate. This indicated that 533 606 people are illiterate within Gauteng ○ According to the WRDM IDP, 8.2% of people have no schooling, 9.6% have primary schooling, 75.6% have secondary school and only 6.6% have tertiary schooling • IDP priorities include: ○ Priority 3 - Quality Education Results ○ Priority 7 - Decent Work and Economic growth ○ Priority 9 - Reduced Inequalities
Smart Digital Economy	• Nationally, 69,4% of people access the internet via mobile phones. However, rural access to the internet via mobile devices is only 59,2% • IDP Priority includes: ○ Priority 8 - Industry, innovation, and Infrastructure ○ Priority 10 - Sustainable communities

Socio-economic needs and issues in the Merafong Local Municipality

KEY ISSUES/NEEDS	SECONDARY SUPPORTING DATA
Job opportunities and creation	• Un/Employment ○ 20% of the population is unemployed ○ 80% is employed ○ 41% are not economically active • Youth Unemployment ○ According to the Merafong IDP, youth unemployment is 37.8% ○ The municipality has identified youth unemployment as one the main challenges in the municipality • Level of Poverty ○ The Merafong municipality has a high level of poverty within the municipality, however, this is not documented and expanded upon in the IDP • Employment Sectors ○ The mining sector is the biggest employer accounting for 25.4% of total employment ○ The trade sector which employs 20.6% of the formal sector workers ○ The agriculture sector employs the most minor share of people at 2.2% • IDP outcomes applicable include: ○ Outcome 11 Reduced Unemployment ○ Outcome 12 Economic Development
Food security	• Agriculture (General Household Survey, 2020) ○ Only a small number of households within Gauteng are for the sole purpose of agricultural activities ○ 62.3% of households conduct agricultural activities as an extra source of food ○ With the 4.6% being for additional source of income, the main source of income and the smallest percentage for leisure • Food Security ○ According to the General Household survey (2021), 14.9% of households have inadequate access to food while 3.5% have sever inadequate access to food within the province • IDP outcomes applicable include:

HARMONY GOLD

KEY ISSUES/NEEDS	SECONDARY SUPPORTING DATA
	○ Outcome 8 Sustainable Environment ○ Outcome 9 Build Spatially integrated Communities ○ Outcome 12 Economic Development
Economic and social investment	• Due to the Covid-19 pandemic, there was a decrease in the number of SMME owned companies nationwide. • In 2021, only 33% of companies were owned by SMMEs (SMME Quarterly Update (SEDA), 2020). • IDP outcomes applicable include: ○ Outcome 3 Skilled, Capacitated, competent and motivated workforce ○ Outcome 12 Economic Development ○ Outcome 13 Robust Financial Administration
Lack of access to water and sanitation services	• Water and sanitation ○ According to the general household survey(2021), 87.5% of households in Gauteng have flushing toilets, 4.3% have pit latrine/ toilets with ventilation pipes, 6.0% have pit latrine/ toilets without ventilation pipes, and 0.3% have no access to sanitation facilities. ○ The 2016 census indicated that 85.8% of households have Flush toilet connected to sewerage, 75.2% have Weekly refuse removal and 62.1% have Piped water inside dwelling • IDP outcomes applicable include: ○ Outcome 1: Basic service delivery improvement ○ Outcome 7 Healthy Communities ○ Outcome 8 Sustainable Environment
Lack of access to energy and electricity	• Energy and electricity ○ Approximately 86.7% of households within the Merafong Local Municipality have electricity for lights. ○ Based on the General Household Survey (2020), in 2020, electricity was the primary source of energy used for cooking, followed by other sources and then wood • IDP outcomes applicable include: ○ Outcome 1: Basic service delivery improvement ○ Outcome 7 Healthy Communities ○ Outcome 8 Sustainable Environment

KEY ISSUES/NEEDS	SECONDARY SUPPORTING DATA
Education and training	• Education ○ According to the Department of Higher Education and Training Adult Illiteracy Fact Sheet (March 2022), Gauteng has an adult illiteracy rate of 5%, which is half of the national rate. This indicated that 533 606 people are illiterate within Gauteng. ○ It was identified in the National Development Plan (NDP) 2030 (Chapter 9) that one of the main development challenges was the poor quality of education ○ According to the 2016 census, 4.1% of the municipal population have no schooling, 29.4% have matric and only 9.0% have a higher education • IDP outcomes applicable include: ○ Outcome 6 Educated Communities ○ Outcome 8 Sustainable Environment ○ Outcome 12 Economic Development
Smart Digital Economy	• Nationally, 69,4% of people access the internet via mobile phones. However, rural access to the internet via mobile devices is only 59,2% • IDP Priority includes: ○ Outcome 8 Sustainable Environment ○ Outcome 9 Build Spatially integrated Communities ○ Outcome 12 Economic Development ○ Outcome 14 institutional Planning and transformation

Appendix C: Procurement BEE spend (Form T)